

Beyond Nationality

Domestic Embeddedness and Industrial Subsidies

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September 11, 2026

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Abstract

Governments routinely subsidize foreign firms, even as industrial policy is justified in terms of national economic development. I argue that subsidy support depends not simply on firm nationality but on domestic embeddedness—the extent to which firms generate visible domestic economic benefits. Using firm-level data on U.S. subsidies from 2000–2023, I show that foreign firms receive fewer subsidies and lower total subsidy amounts, but this disadvantage narrows among labor-intensive firms. Foreign supplier dependence, by contrast, does not reduce government support. Two preregistered survey experiments on a nationally representative sample of 4,000 U.S. adults show that citizens similarly prioritize domestic economic contributions: foreign workforces and suppliers substantially reduce support regardless of firm ownership, while the effect of ownership is smaller and less consistent. Together, the findings show that governments and citizens both look beyond nationality, particularly to employment-related contributions, although they weigh supply chains differently. Industrial policy therefore navigates economic interdependence by defining which activities of globally integrated firms count as sufficiently domestic to warrant public support.

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Introduction

In 2022, the state of Georgia offered \$1.5 billion in incentives to Rivian, an American electric-vehicle manufacturer, for a new \$5 billion plant expected to create 7,500 jobs. Just months later, the state offered an even larger package, worth up to \$1.8 billion, to Hyundai, a Korean automaker, for an electric-vehicle and battery complex expected to create more than 8,000 jobs (Associated Press, 2022; Kanell, Trubey, and Hansen, 2022). Despite Hyundai’s foreign nationality, Georgia officials emphasized the jobs, investment, and broader manufacturing activity the project would bring to the state (Office of Governor Brian P. Kemp, 2022). The two cases illustrate a broader puzzle in the politics of industrial policy: if governments favor domestic firms, why do they sometimes provide comparable, or even greater, support to foreign firms?

Industrial policy has returned to the center of economic policymaking, as governments increasingly subsidize firms to promote strategic industries, technological competitiveness, and economic security (Aiginger and Rodrik, 2020; Juhász, Lane, and Rodrik, 2024; Breznitz and Gingrich, 2025). Yet globalization has blurred the distinction between “domestic” and “foreign” firms. A foreign-owned manufacturer may employ thousands of domestic workers and produce locally, while a domestically owned firm may rely heavily on overseas production and global supply chains (Helpman, Melitz, and Yeaple, 2004; Bernard et al., 2007; Gereffi, 2014; Kim and Osgood, 2019; Osgood, 2018). As ownership becomes increasingly decoupled from the location of economic activity, it is less clear whether governments should prioritize who owns a firm or the economic benefits it generates at home.

Existing research offers only a partial answer. Scholarship on industrial policy and economic-development incentives explains why governments target particular industries, locations, or politically valuable firms (Bartik, 2019; Jensen and Malesky, 2018; Jensen, Findley, and Nielson, 2020; Slattery, 2025, 2026), while research on multinational enterprises and economic nationalism examines the political consequences of foreign ownership (Pandya, 2010; Tingley et al., 2015; Mansfield and Mutz, 2009; Mutz, Mansfield, and Kim, 2021; Kim and Siegel, 2024). Yet we know much less about how governments and the public evaluate firms when ownership and domestic economic contribution point in different directions.

This paper argues that governments evaluate firms through a broader notion of their domestic embeddedness: the extent to which a firm’s activities generate visible and locally attributable economic benefits within the domestic economy. Domestic employment, domestic investment, and domestic supplier relationships provide policymakers with observable evidence that public support will benefit local workers and communities, even when owner-

ship is foreign. Rather than asking simply whether a firm is domestic or foreign, governments increasingly confront a different question: how deeply is the firm’s economic activity embedded in the domestic economy?

This perspective generates a new expectation about the politics of industrial policy. If policymakers prioritize domestic embeddedness over ownership alone, then foreign firms should not face a uniform disadvantage. Instead, governments should be more willing to support foreign-owned firms whose domestic activities create visible employment and investment. At the same time, globalization creates a second question that existing research has largely overlooked. Governments routinely justify subsidies to foreign firms by pointing to the domestic jobs and economic activity those firms create. Whether this political logic is shared by the broader public remains unknown. If citizens evaluate firms through the same lens, then domestic economic contributions should compensate for foreign ownership. If not, governments may systematically rely on a political logic that is only partially accepted by the public whose support ultimately sustains industrial policy.

To evaluate these questions, I combine two complementary empirical strategies. First, I assemble a novel firm-level dataset linking U.S. industrial subsidy awards between 2000 and 2023 to information on firm nationality, supply chains, and labor intensity from Compustat and Orbis. This analysis examines how governments allocate subsidies across firms that differ in headquarters location and employment orientation. Second, I field two preregistered survey experiments on nationally representative samples of American adults that independently randomize firm ownership together with workforce composition and supplier origin. These experiments examine whether citizens evaluate related tradeoffs when assessing potential subsidy recipients.

The analyses produce three main findings. First, foreign firms receive fewer subsidies and lower total subsidy amounts than comparable U.S. firms, but this nationality penalty is significantly attenuated among more labor-intensive firms. Second, citizens also place considerable weight on domestic employment and domestic suppliers when evaluating subsidy recipients, indicating that ownership is not the only characteristic that shapes public support. Third, and most importantly, the two studies reveal different patterns in how these considerations combine. Government allocation is consistent with employment orientation partially compensating for foreign nationality, whereas citizens largely evaluate ownership and domestic economic contributions independently. As a result, the political logic governments use to justify subsidizing foreign firms is only partially reflected in public preferences.

These findings contribute to research on industrial policy, globalization, and economic

nationalism in three ways. First, the paper reconceptualizes how governments evaluate firms under globalization by shifting attention from ownership alone to the broader concept of domestic embeddedness. Second, it demonstrates that the political consequences of globalization depend not simply on who owns firms, but also on where their economic activities are located. Finally, by combining observational evidence on government behavior with experimental evidence on public opinion, the paper shows that the political logic governments employ to justify supporting globally integrated firms is not fully reflected in citizens' preferences. Together, these findings offer a new perspective on how industrial policy adapts to an economy in which ownership and domestic economic activity are increasingly decoupled.

Theory

Industrial policy in a globalized economy

Industrial policy has re-emerged as a central instrument of economic policy. Governments increasingly intervene to promote strategic industries, accelerate technological innovation, strengthen supply-chain resilience, and enhance national competitiveness through targeted support for particular firms, sectors, and technologies (Lane, 2020; Naughton, 2021; Juhász, Lane, and Rodrik, 2024). Although industrial policy encompasses a wide range of instruments, including tariffs, procurement, and sector-wide incentives, this paper focuses on firm-level production subsidies. Unlike broader policy tools, firm-specific subsidies require governments to identify individual firms that merit public support. Every subsidy decision therefore reflects an implicit judgment about which firms are expected to advance national economic objectives.

These judgments have become increasingly difficult under globalization. Over the past several decades, multinational production and global value chains have fundamentally reshaped the organization of firms (Helpman, Melitz, and Yeaple, 2004; Gereffi, 2014; Kim and Osgood, 2019; Osgood, 2018). Ownership, production, employment, and sourcing are no longer concentrated within a single country, but are instead distributed across multiple jurisdictions. As a result, the traditional distinction between domestic and foreign firms has become increasingly blurred. A foreign-owned firm may employ thousands of domestic workers, purchase extensively from domestic suppliers, and produce almost entirely within the host economy. Conversely, a domestically owned firm may conduct much of its production abroad while relying heavily on imported inputs. Ownership alone therefore provides an increasingly incomplete picture of where a firm's economic activities, and the benefits they

generate, are actually located.

This transformation poses a fundamental challenge for industrial policy. Governments continue to justify subsidies in terms of national economic development, emphasizing domestic job creation, investment, and industrial competitiveness. Yet these objectives no longer map neatly onto firm ownership. If foreign-owned firms can generate substantial domestic benefits while domestically owned firms may not, policymakers must evaluate firms using criteria that extend beyond nationality alone. The central theoretical question is therefore not simply whether governments prefer domestic to foreign firms, but how governments determine which globally integrated firms are sufficiently connected to the domestic economy to justify public support.

Domestic embeddedness as a political criterion

I argue that governments address this problem by evaluating firms according to their domestic embeddedness: the extent to which a firm's economic activities are rooted in, and generate visible benefits for, the domestic economy. Domestic embeddedness shifts attention away from ownership as a legal attribute and toward the concrete economic relationships through which firms contribute to national development. Rather than asking only who owns a firm, policymakers also consider where it employs workers, where it invests, and where the broader economic effects of its operations are realized.

Domestic embeddedness is inherently multidimensional. Firms can be connected to the domestic economy through ownership, employment, investment, production, supplier relationships, and other forms of local economic activity. These dimensions need not move together. Foreign-owned firms may be deeply embedded in the domestic economy through extensive local production and employment, while domestically owned firms may exhibit relatively weak domestic ties. The political significance of globalization lies precisely in this decoupling of ownership from other forms of economic integration. Once these dimensions diverge, ownership can no longer serve as a sufficient proxy for a firm's contribution to national economic objectives.

Not all dimensions of domestic embeddedness, however, are equally relevant for politics. Governments do not directly observe a firm's total contribution to the economy. Instead, they rely on characteristics that are visible, attributable, and politically defensible when allocating public resources. Some forms of domestic economic contribution are easier to communicate to voters and easier to claim credit for than others. A governor announcing a subsidy can readily point to the number of local jobs a project will create or preserve,

while the productivity gains generated through supplier networks or technological spillovers are substantially more diffuse and difficult to attribute to a particular policy decision. The political value of domestic embeddedness therefore depends not only on the magnitude of a firm's economic contribution, but also on how visible that contribution is to policymakers and the public.

This perspective yields two broader implications. First, foreignness is not a single characteristic but a multidimensional concept. Ownership, employment, and supply-chain relationships each capture different ways firms are connected to the domestic economy and need not carry the same political weight. Second, governments should not evaluate these dimensions equally. Instead, they are expected to place greater emphasis on forms of domestic embeddedness that generate visible and politically attributable benefits, particularly domestic employment, while assigning less weight to dimensions whose domestic consequences are indirect or difficult to observe. The following sections develop this argument for each dimension of firm foreignness and derive the empirical expectations for government subsidy allocation and, subsequently, for public opinion.

Foreign nationality as a baseline political liability

Although globalization has weakened the correspondence between corporate nationality and domestic economic activity, nationality remains one of the most salient characteristics of firms in industrial policy. A firm's national affiliation provides a visible cue about where corporate control resides and where the returns to public investment may ultimately accrue. Governments allocating public resources therefore cannot ignore nationality, even when it provides only a partial picture of a firm's contribution to the domestic economy.

Foreign nationality creates political costs for policymakers through several mechanisms. Economically, subsidizing a foreign firm raises the possibility that part of the returns generated by public investment will accrue abroad rather than remaining within the domestic economy. Politically, national affiliation is highly visible and easily understood by voters, making it a focal point for criticism when governments support foreign firms. Opponents can readily portray such subsidies as transfers of taxpayer resources to foreign companies, regardless of where production occurs or who ultimately benefits from the investment.

This political sensitivity is longstanding. When Honda opened its automobile assembly plant in Marysville, Ohio in the early 1980s, critics warned that Japanese investment risked turning parts of American manufacturing into "manufacturing colonies of Japan," despite the jobs and production the plant generated locally (Behr, 1987). The criticism focused

on Honda’s Japanese national affiliation rather than where production took place or who benefited from it locally.

These concerns are further reinforced by the political relationships surrounding industrial policy. Domestic firms are generally more embedded in local political and economic networks, making them better positioned to lobby governments, cultivate relationships with policymakers, and provide visible political or economic returns following public support (Siegel, 2007; Johns and Wellhausen, 2021; Kim and Siegel, 2024). Foreign firms, in contrast, face greater legal, institutional, and informational barriers to developing these relationships.

For these reasons, foreign nationality is expected to create a baseline political disadvantage in the allocation of industrial subsidies. Importantly, this expectation does not imply that governments categorically avoid supporting foreign firms. Contemporary industrial policy routinely relies on multinational enterprises to achieve strategic objectives, particularly in sectors such as semiconductors, automobiles, and clean energy. The relevant question is therefore not whether governments subsidize foreign firms, but under what conditions they are willing to do so. I argue that nationality establishes the initial political liability against which other characteristics of firms are evaluated. Whether this liability can be overcome depends on the extent to which a firm’s activities generate visible domestic economic benefits, a question developed in the following subsection.

Hypothesis 1. Foreign firms are less likely to receive industrial subsidies than otherwise comparable U.S. firms.

Foreign supplier dependence as a secondary dimension of foreignness

Firm nationality is not the only way globalization connects firms to foreign economies. Firms also differ in the extent to which they rely on domestic or foreign suppliers. Purchasing inputs from domestic suppliers connects the subsidized firm to upstream domestic producers, while foreign sourcing shifts more of these production relationships abroad. Research on global value chains shows that supplier relationships shape both the distribution of firms’ economic activity and the political interests generated by international production (Johns and Wellhausen, 2016; Osgood, 2018; Zeng, Sebold, and Lu, 2020). Governments therefore have reason to consider supplier relationships alongside firm nationality when evaluating the domestic contribution of firms.

The political implications of supplier relationships, however, differ from those of firm

nationality and employment. Whereas national affiliation provides a visible cue about where corporate control resides, and employment provides visible evidence of domestic economic benefits, supplier relationships are substantially less direct and less politically salient. The economic gains generated through domestic suppliers are dispersed across numerous firms and regions, making them more difficult to observe and less readily attributable to a particular subsidy decision. Politicians can easily defend industrial subsidies by pointing to jobs created or retained, but they are far less likely to justify support by emphasizing the nationality of a firm’s upstream suppliers. Consequently, supplier nationality should matter for subsidy allocation, but less strongly than firm nationality or visible domestic employment.

Recent debates surrounding Chinese electric vehicle manufacturers illustrate this difference. Political opposition to BYD’s prospective expansion into the United States has emphasized the firm’s Chinese ownership and associated national-security concerns (Office of Senator Tammy Baldwin, 2024; Reuters, 2026). Although policymakers have also raised concerns about dependence on Chinese batteries and parts, my interpretation of this debate is that ownership and national security have been more prominent than the geographic composition of the firm’s supplier network. The contrast illustrates the broader theoretical argument: supplier relationships contribute to how governments evaluate firms, but they are less visible and therefore less politically consequential than ownership itself.

Hypothesis 2. Firms that rely more heavily on foreign suppliers are less likely to receive industrial subsidies than otherwise comparable firms.

Employment orientation as visible embeddedness

The preceding arguments identify two dimensions of firm foreignness, but they leave unresolved the central puzzle of contemporary industrial policy: if foreign nationality creates a political disadvantage, why do governments nevertheless subsidize many foreign firms? In practice, governments frequently support foreign firms when they are expected to generate substantial domestic economic benefits. The relevant question is therefore not simply whether foreign firms are disadvantaged, but what allows some of them to overcome the nationality penalty.

I argue that domestic employment provides the clearest answer. Among the many ways firms contribute to the domestic economy, employment is uniquely visible, geographically concentrated, and politically attributable. New jobs are readily observed by citizens, frequently reported by the media, and routinely highlighted in government announcements of

industrial subsidies. Unlike productivity improvements, technological spillovers, or future tax revenues, employment provides policymakers with a concrete and easily communicated justification for public investment. Politicians can credibly claim that subsidy programs create jobs for local workers and strengthen local communities, making employment one of the most politically valuable forms of domestic embeddedness.

This logic is especially important for foreign firms. Because foreign nationality raises concerns that the benefits of public support may ultimately flow abroad, governments require stronger evidence that subsidizing these firms serves domestic interests. Visible employment provides precisely such evidence. By creating jobs within the host economy, foreign firms can demonstrate that at least part of the returns from public investment remain with domestic workers and communities. Domestic employment can therefore provide a political justification that partially offsets the baseline disadvantage associated with foreign nationality.

BMW’s manufacturing complex in Spartanburg, South Carolina illustrates this logic. Although BMW is a German firm, the facility has become one of the state’s largest employers and is routinely cited by both BMW and state officials for the tens of thousands of jobs it supports directly and indirectly (BMW Group, 2024). Public discussion surrounding government support for the facility has consequently focused far more on its employment and economic contributions than on its foreign nationality. The example illustrates the broader argument developed here: domestic employment does not eliminate the political relevance of nationality, but it can substantially reduce its political costs by providing visible evidence that subsidizing a foreign firm advances domestic economic objectives.

Directly comparing firms by the number of workers they employ is difficult because employment naturally scales with firm size. I therefore operationalize firms’ employment orientation using labor intensity, the extent to which production relies on labor relative to capital. Holding firm size constant, labor intensity distinguishes firms for which employment constitutes a larger or smaller component of economic activity. Because the available measure does not identify where employees are located, it should be interpreted as a proxy for employment orientation rather than a direct measure of domestic employment.

Hypothesis 3. The disadvantage faced by foreign firms is attenuated among more labor-intensive firms.

Labor intensity may also operate through supply chains. Firms connected to labor-intensive foreign suppliers could, in principle, shift employment benefits abroad, raising concerns about whether subsidies support domestic job creation. As with supply-chain

nationality more broadly, however, supplier-level employment is less visible and less readily attributable to a subsidy decision than employment at the focal firm.

Hypothesis 4. The negative relationship between reliance on foreign suppliers and subsidy allocation is stronger when those suppliers are more labor-intensive.

Together, Hypotheses 1–4 describe how governments are expected to evaluate firms under globalization. Governments continue to distinguish between U.S. and foreign firms, but they do not rely on nationality alone. Instead, they evaluate multiple dimensions of domestic embeddedness, placing the greatest weight on characteristics that generate visible and politically attributable benefits. Whether this political logic extends beyond policymakers, however, remains an open question.

Public support for industrial subsidies

Industrial subsidies are financed with public resources and ultimately derive their political legitimacy from public support. Yet ordinary citizens evaluate firms under very different informational conditions from policymakers. Unlike governments, citizens do not negotiate directly with firms, observe firms’ investment plans, or evaluate detailed projections of economic impact. Instead, they infer whether a firm deserves public support from a limited set of observable characteristics. The central question is therefore whether citizens combine information about ownership and domestic economic contribution in the same way governments appear to.

Material benefits One possibility is that citizens evaluate firms primarily according to their expected contribution to the domestic economy. Industrial policy is commonly justified as creating jobs, strengthening domestic production, and expanding economic opportunities for local workers and businesses. Citizens who focus on these material benefits should therefore favor firms that generate visible domestic economic activity, regardless of ownership. A predominantly domestic workforce directly benefits American workers, while reliance on domestic suppliers supports upstream industries and broadens the economic impact of government subsidies (Hainmueller and Hiscox, 2010; Mansfield and Mutz, 2009; Owen and Johnston, 2017; Autor, Dorn, and Hanson, 2013; Kim and Margalit, 2016=7; Pandya, 2010; Lee and Liou, 2022). Under this logic, ownership matters only insofar as it provides information about where the economic benefits of industrial policy are expected to accrue.

Ownership as a symbolic cue At the same time, citizens may attach independent political significance to firm ownership. Industrial subsidies are financed with taxpayer re-

sources and justified as advancing national interests, making ownership a visible cue about whether the recipient belongs to the national economic community. Research on economic nationalism and foreign investment suggests that symbolic concerns about national identity, sovereignty, and economic control frequently shape attitudes toward international economic policies alongside material considerations (Mansfield and Mutz, 2009; Mutz, Mansfield, and Kim, 2021; Powers, Reifler, and Scotto, 2021; Feng, Kerner, and Sumner, 2021; Bankert, Powers, and Sheagley, 2023; Chan and Meunier, 2022; Tingley et al., 2015; Carnegie and Gaikwad, 2022). From this perspective, domestic employment and domestic suppliers increase a firm’s attractiveness because they generate tangible economic benefits, but they do not fundamentally alter the fact that a foreign-owned firm remains foreign.

These two perspectives generate similar expectations when ownership and domestic economic contribution reinforce one another, but they diverge when the two come apart. Both imply that citizens should respond positively to firms that employ American workers and maintain domestic supplier relationships. The critical question is whether these domestic economic contributions also compensate for foreign ownership. If ownership primarily serves as a proxy for expected economic benefits, then a domestic workforce or supplier base should substantially mitigate any ownership penalty. If ownership instead carries independent symbolic importance, foreign ownership should continue to reduce support even among firms that are otherwise deeply embedded in the domestic economy. These arguments generate four expectations regarding public support for industrial subsidies.

Survey Hypothesis 1s. The public will be less supportive of providing subsidies to foreign-owned firms than to American-owned firms.

Survey Hypothesis 2sa. The public will be less supportive of providing subsidies to firms that employ primarily foreign workers than to firms that employ primarily American workers.

Survey Hypothesis 2sb. The public will be less supportive of providing subsidies to firms that source primarily from foreign suppliers than to firms that source primarily from American suppliers.

Survey Hypothesis 3s. The negative effect of foreign ownership on public support for subsidizing a firm will be smaller when a firm employs primarily American workers or sources primarily from American suppliers than when it employs primarily foreign workers or sources primarily from foreign suppliers.

Hypothesis 3s is tested separately in the two survey experiments through workforce composition (Experiment 1) and supplier origin (Experiment 2). Together, these hypotheses

assess whether citizens evaluate foreign firms according to the same compensatory logic developed for governments in the preceding sections. The comparison between government allocation and public opinion is reserved for the empirical analysis, where the observational and experimental evidence can be evaluated jointly.

The following sections evaluate these expectations using two complementary empirical strategies. The first examines how governments allocate industrial subsidies across firms differing in ownership, employment, and supply-chain characteristics. The second tests whether citizens evaluate the same tradeoffs in two preregistered survey experiments.

Study 1: Government Allocation of Industrial Subsidies

Data and sample

To evaluate Hypotheses 1–4, I examine the allocation of industrial subsidies to firms in the United States from 2000 to 2023. The United States provides a particularly useful setting because it combines extensive multinational firm activity and cross-border production (Kose et al., 2017) with active subsidy competition and economic-development programs at the federal, state, and local levels (Jensen and Malesky, 2018; Jensen, Findley, and Nielson, 2020; Slattey, 2025). This creates substantial variation not only in whether firms are headquartered in the United States or abroad, but also in the extent to which their production, employment, and supplier relationships are connected to the U.S. economy.

The analysis combines three principal data sources: Subsidy Tracker, Compustat, and Orbis. Subsidy Tracker provides information on firm-specific government assistance, including grants, tax credits and abatements, subsidized loans, and other forms of direct economic-development support. Compustat supplies firm financial characteristics, employment, industry, and headquarters information. I also use Compustat Customer Segments to recover major customer relationships and invert these reported seller–customer links to identify upstream suppliers. Orbis provides additional information on firms’ ownership and corporate structure. Because these sources use different firm identifiers, I link records using GVKEY, ISIN, ticker symbols, and firm names, supplemented by manual verification through WRDS and Capital IQ.¹

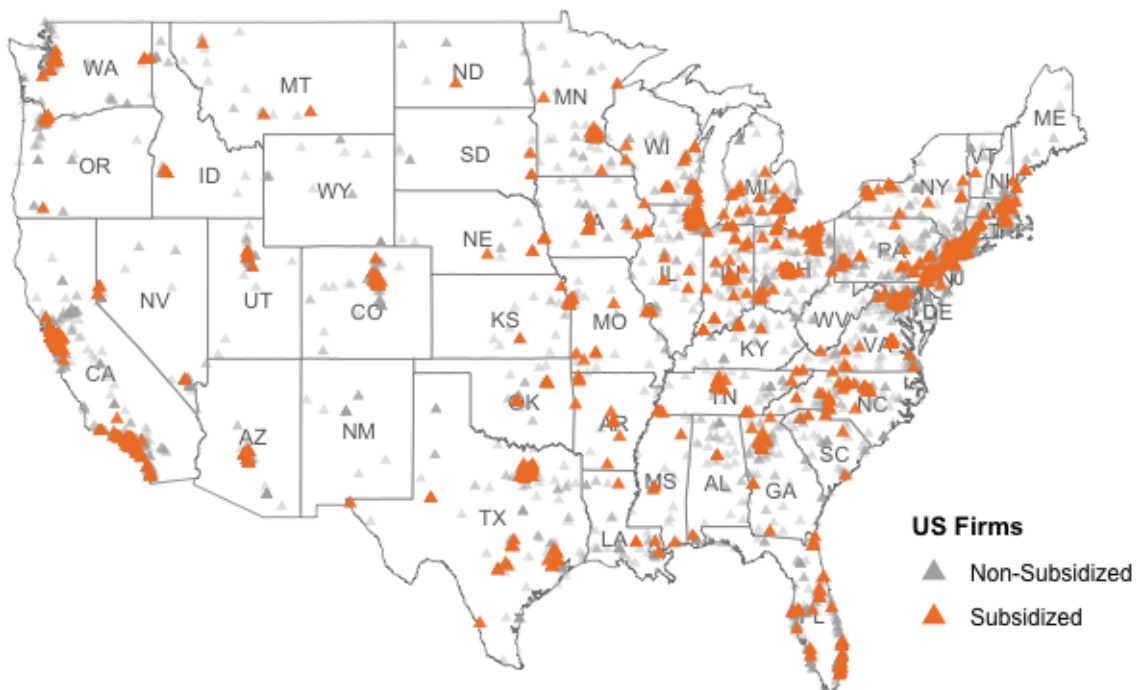
The resulting dataset is organized at the firm-year level and covers publicly traded firms observed between 2000 and 2023. This structure makes it possible to compare firms operating

¹ The matching procedure combines automated identifier-based matching with manual verification for records that could not be linked uniquely.

in the same year, state, and industry while linking government support to characteristics that are rarely observed together in existing studies of industrial policy: firm ownership, employment intensity, and the geographic composition of major supplier relationships.

The dependent variables capture two dimensions of industrial support. The first is the number of subsidy awards received by firm i in year t . The second is the total dollar value of those awards. Considering both outcomes is important because governments may differentiate among firms at different stages of subsidy allocation. Foreign firms could be excluded from subsidy programs altogether, for example, or they could gain access to support but receive fewer or smaller awards once selected. The analyses therefore examine both the frequency and the monetary scale of industrial support.²

Figure 1: Geographic distribution of firms and industrial subsidy receipt



Note: Points represent firm-year observations located at firms' headquarters. Orange points indicate firms receiving at least one industrial subsidy during the observation year; gray points indicate firms receiving no subsidy.

² State governments account for 73.3% of subsidy projects in the data, while federal programs account for 54.3% of total subsidy dollars. The theoretical argument concerns how firm foreignness shapes the political allocation of public support and is not limited to a single level of government.

Figure 1 shows the geographic distribution of firms and subsidy receipt across the United States. Subsidized firms are geographically dispersed rather than concentrated in a small number of states, reflecting the combination of federal, state, and local programs captured in the data.

Measures

Firm nationality The first dimension of firm foreignness is nationality. I construct a binary measure, Foreign firm, coded one when a firm is headquartered outside the United States and zero when it is U.S.-headquartered, using Compustat headquarters and fiscal-country information. This measure captures the nationality distinction at the center of Hypothesis 1.

Foreign firms constitute a substantial share of the sample. As Table 1 shows, 23.0% of firm-year observations are foreign, but foreign firms account for only 15.4% of subsidy recipients. The unconditional receipt rate also differs sharply by nationality: 10.1% of U.S.-firm years receive at least one subsidy, compared with 6.2% of foreign-firm years. Among recipients, U.S. firms also receive somewhat more awards and larger average subsidy amounts. These descriptive differences do not establish a nationality penalty; foreign and U.S. firms differ in size, industry, geography, and other characteristics, but they provide an initial indication of the pattern examined below.³

Table 1: Subsidy receipt by firm nationality

	All firm-years	U.S. firms	Foreign firms
N	151,338	116,456	34,882
Share of sample	100%	77.0%	23.0%
Share of all recipients	—	84.6%	15.4%
% receiving any subsidy	9.2%	10.1%	6.2%
Avg. # awards among recipients	4.14	4.22	3.69
Mean subsidy amount (recipients only)	—	\$12,861,464	\$11,119,965

Firm labor intensity Hypothesis 3 concerns whether employment orientation attenuates the disadvantage associated with foreign nationality. Raw employment counts are not well suited to this comparison because larger firms mechanically employ more workers. I therefore measure the employment intensity of production as the ratio of employees to annual revenue.

³ Foreign subsidy recipients are headquartered in 45 countries. Japanese firms receive the largest number of awards, followed by firms headquartered in Germany, Switzerland, and Canada.

Higher values identify firms whose economic activity relies more heavily on labor relative to revenue, while lower values characterize more capital-intensive production. As Panel (a) of Figure 2 shows, labor intensity varies considerably across firms and is strongly right-skewed. I therefore use its logged transformation in the regression analyses.

This measure should be interpreted as an indicator of the prominence of employment in a firm’s productive activity rather than as a direct count of U.S. workers. Compustat does not identify the location or nationality of every employee within a multinational firm, so the measure cannot establish precisely how many jobs attributable to a particular firm are located in the United States. Its value is instead comparative. Holding firm size, industry, location, and year constant, labor intensity distinguishes firms for which employment constitutes a larger or smaller component of economic activity. This corresponds to the theoretical distinction between firms whose domestic contributions can be expressed more visibly through employment and those whose economic activity is more capital intensive.

The distinction is particularly important for foreign firms. The theoretical argument does not simply predict that labor-intensive firms receive more subsidies on average. Rather, employment orientation should matter especially when foreign nationality creates an initial political liability. The key test of Hypothesis 3 is therefore whether the nationality gap in subsidy allocation narrows as labor intensity increases.

Foreign supplier dependence The second dimension of firm foreignness concerns supply chains. Compustat Customer Segments reports firms’ major customers rather than their procurement transactions. I therefore invert the reported seller–customer links: a firm is identified as an upstream supplier when it reports the focal firm as a major customer. Using the geographic location of these identified suppliers, I construct Foreign supplier share as the share of supplier-linked sales associated with foreign upstream suppliers, weighted by the sales reported for each customer relationship.⁴ The measure ranges from zero, indicating an entirely domestic observed supplier base, to one, indicating that all identified major suppliers are foreign.

Foreign supplier exposure has a markedly different distribution from firm nationality. Approximately 92% of firm-year observations report no foreign major suppliers. Among the remaining observations, however, reliance on foreign suppliers varies substantially, including firms with partially foreign and entirely foreign observed supplier networks. Panel (b) of

⁴ Compustat customer relationships are derived from firms’ SEC disclosures and linked across firms using verified name-matching procedures. The measure captures disclosed major-customer relationships viewed from the buyer’s side; it is not a comprehensive measure of the focal firm’s procurement (Patatoukas, 2012; Cohen and Li, 2020).

Figure 2 displays this variation among observations with positive foreign supplier exposure; the large mass at zero is omitted from the figure for visual clarity.

Supplier information is also available for a substantially smaller set of firm-years than nationality and labor-intensity data because disclosure of major supplier relationships is not universal. Models incorporating Foreign supplier share therefore use a more restricted sample than the nationality-only specifications. This difference is important when comparing coefficient magnitudes across models: changes in the foreign-firm coefficient after introducing supplier characteristics may partly reflect changes in sample composition rather than the statistical effect of controlling for foreign sourcing itself.

Supplier labor intensity I also measure the labor intensity of firms’ major suppliers using the same employee-to-revenue ratio applied to focal firms. This measure captures whether a firm’s supplier network is concentrated among relatively labor-intensive or capital-intensive producers. I interact supplier labor intensity with Foreign supplier share to examine whether the consequences of foreign sourcing depend on the employment intensity of the supplier network.

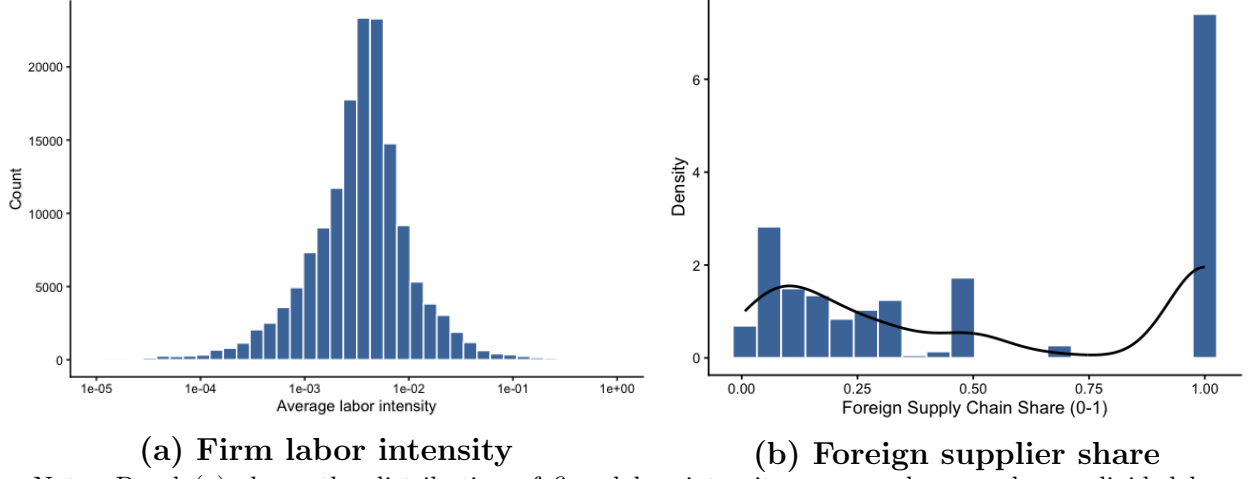
If governments are sensitive not only to where firms source but also to where employment benefits generated through those supply chains accrue, foreign supplier dependence should be more politically costly when the relevant suppliers are labor intensive. In that case, greater reliance on foreign suppliers implies that a larger share of employment associated with upstream production is located abroad. Because supplier-level employment is less visible and less readily attributable to a subsidy decision than employment at the subsidized firm itself, however, I expect this conditional relationship to be weaker than the interaction between foreign nationality and focal-firm labor intensity.

Controls All specifications account for firm size using information on revenue and employment and include year, state, and four-digit NAICS industry fixed effects. These fixed effects compare firms facing similar temporal, geographic, and sectoral environments, absorbing common shocks to subsidy availability as well as persistent differences across states and industries in the use of industrial policy. Foreign supplier exposure is lagged by one year where appropriate to reduce simultaneity between contemporaneous subsidy receipt and supplier composition.

Empirical strategy

The baseline models estimate the association between firm foreignness and industrial subsidy allocation while holding constant firm characteristics and fixed effects. Let Y_{it} denote either

Figure 2: Distribution of firm labor intensity and foreign supplier share



Note: Panel (a) shows the distribution of firm labor intensity, measured as employees divided by annual revenue; the horizontal axis is displayed on a log scale because the measure is highly right-skewed. Panel (b) shows foreign supplier share among firm-year observations with positive foreign supplier exposure. Approximately 92% of firm-year observations report no foreign major suppliers and are omitted from Panel (b) for visual clarity.

the number or total amount of industrial subsidies received by firm i in year t . The baseline specification is

$$\ln(1 + Y_{it}) = \beta_0 + \beta_1 \text{Foreign firm}_{it} + \beta_2 \text{Foreign supplier share}_{i,t-1} + \gamma \mathbf{X}_{it} + \alpha_t^{\text{Year}} + \alpha_s^{\text{State}} + \alpha_j^{\text{Industry}} + \varepsilon_{it},$$

where $\mathbf{X}_{it}$ contains firm-level controls. The coefficient on Foreign Firm evaluates Hypothesis 1, while the coefficient on Foreign Supplier Share evaluates Hypothesis 2. Because supplier information is available for a more restricted set of firms, I first estimate the ownership relationship on the broader sample and then introduce supplier characteristics.

To evaluate Hypothesis 3, I interact foreign-firm status with logged labor intensity. The quantity of interest is not the coefficient on either term in isolation, but how the predicted nationality gap changes across the observed distribution of labor intensity. I therefore complement the interaction estimates with predicted outcomes for U.S. and foreign firms across substantively relevant values of labor intensity. To provide substantive estimates on the original outcome scale, I also estimate Poisson pseudo-maximum-likelihood models using the untransformed subsidy outcomes and the same controls and fixed effects.

All baseline models are estimated using OLS with log-transformed outcomes and robust standard errors. The appendix evaluates whether the results depend on this functional form

or on treatment of the large number of firm-years receiving no subsidies. These analyses include binary receipt models, zero-inflated negative binomial specifications for subsidy counts, alternative fixed-effects specifications, firm-clustered standard errors, and matching estimators that compare observationally similar foreign and domestic firms.

Results

Firm nationality and industrial subsidy allocation

Table 2 first examines the relationship between firm foreignness and industrial subsidy allocation. Consistent with Hypothesis 1, foreign nationality is associated with substantially less government support. In the broad sample, foreign firms receive significantly fewer subsidies than comparable U.S. firms ($\beta = -0.115$, $p < 0.01$). On the log scale, this estimate corresponds to approximately 11% fewer subsidy awards, conditional on the included controls and fixed effects.

Table 2: Firm foreignness and industrial subsidy allocation

	1	2	3
	Log Count of Industrial Subsidies		
Foreign firm	-0.115** (0.026)		-0.785*** (0.072)
Foreign supplier share _{<i>t</i>-1}		0.097* (0.034)	0.097** (0.034)
	Log Amount of Industrial Subsidies		
Foreign firm	-0.995** (0.310)		-6.015*** (1.332)
Foreign supplier share _{<i>t</i>-1}		0.733* (0.307)	0.739* (0.307)
Firm size	Yes	Yes	Yes
State FE	Yes	Yes	Yes
Year FE	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes

Note: Ordinary least squares estimates with robust standard errors in parentheses.

All models include firm size, year, state, and 4-digit NAICS industry fixed effects.

* $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$.

The nationality gap is considerably larger for subsidy amounts. Foreign firms receive lower total subsidy amounts per firm-year than otherwise comparable U.S. firms ($\beta = -0.995$, $p < 0.01$), corresponding to a reduction of roughly 63%. The contrast between counts and

amounts is substantively informative. Foreign firms are not categorically excluded from industrial subsidy programs; rather, the nationality disadvantage appears especially pronounced in the overall scale of public support they receive. Because the amount outcome includes firm-years with no subsidies, this difference reflects both access to subsidies and the value of the awards received; it should not be interpreted solely as evidence that foreign firms receive smaller awards conditional on receiving support.

The foreign-firm coefficient becomes considerably larger in the joint specifications that include supplier characteristics. These models, however, are estimated on the substantially smaller set of firms for which major supplier relationships can be observed. I therefore do not interpret the increase in coefficient magnitude as evidence that controlling for foreign sourcing itself reveals a larger nationality penalty. The more conservative conclusion is that the negative nationality relationship persists both in the broader sample and among firms with observable supplier networks.

This pattern is robust to several alternative specifications. Binary models of whether a firm receives any subsidy and zero-inflated count models produce the same basic nationality disadvantage (Appendix Tables A8–A9). Matching analyses using Coarsened Exact Matching (Iacus, King, and Porro, 2012) and Generalized Full Matching (Sävje, Higgins, and Sekhon, 2020) likewise show a negative nationality relationship among firms of similar size located in the same state, industry, and year (Appendix Table A10). These analyses cannot eliminate all concerns about unobserved differences between foreign and U.S. firms, but they indicate that the nationality gap is not driven solely by the most obvious compositional differences in the sample.

Average adjusted predictions from PPML models provide a more intuitive sense of the substantive difference on the original outcome scale. Holding the included covariates and fixed effects constant, U.S. firms are predicted to receive 0.471 subsidies per firm-year, compared with 0.194 for foreign firms, a difference of 0.277 awards, or 58.8%. Predicted subsidy amounts exhibit an even larger disparity: U.S. firms are predicted to receive an average of \$1.766 million per firm-year, compared with \$0.396 million for foreign firms, a difference of approximately \$1.371 million, or 77.6% (Appendix Table A4). Because PPML estimates conditional means on the original scale and is more sensitive to large subsidy awards, these magnitudes differ from those obtained from OLS models using $\log(1 + y)$ outcomes. Both approaches nevertheless produce the same substantive conclusion. Taken together, these results support Hypothesis 1: foreign nationality constitutes a meaningful disadvantage in the allocation of U.S. industrial subsidies.

Foreign supplier dependence

Hypothesis 2 extends the argument to a second dimension of firm foreignness. If governments seek to retain the economic benefits of industrial subsidies within the domestic economy, firms that depend more heavily on foreign suppliers should receive less support. At the same time, the theory anticipates that supplier nationality should be less politically consequential than ownership or direct employment because upstream relationships are less visible and less readily attributable.

The results do not support the directional prediction in Hypothesis 2. As Table 2 shows, the coefficient on lagged foreign supplier share is positive rather than negative. Firms with greater foreign supplier exposure receive modestly more subsidy awards ($\beta = 0.097, p < 0.05$) and substantially larger subsidy amounts ($\beta = 0.733, p < 0.05$). Moving from an entirely domestic to an entirely foreign observed supplier base is associated with roughly a 10% increase in subsidy counts and approximately a doubling of subsidy amounts, although such a full-range change is uncommon in the data. The estimates remain nearly unchanged when foreign-firm status is included in the joint specification.

Hypothesis 2 is therefore not supported. The observational evidence provides no indication that governments systematically penalize firms for relying on foreign suppliers; if anything, the conditional association runs in the opposite direction. This result stands in sharp contrast to the robust disadvantage associated with foreign nationality. Although both headquarters location and supply chains connect firms to foreign economies, governments appear to distinguish sharply between these dimensions of firm foreignness.

The positive supplier coefficient itself should be interpreted cautiously. Appendix Table A7 shows that the relationship is sensitive to the geographic and industrial composition of firms. The unconditional association between foreign supplier exposure and subsidy allocation is negative, but it changes as state, year, and industry fixed effects are introduced. Supplier information is also available only for a comparatively small subset of firm-years. These patterns make it difficult to interpret the positive conditional coefficient as evidence that foreign sourcing itself causes firms to receive more government support. The stronger conclusion is that the data provide little evidence of a systematic political penalty for foreign sourcing comparable to the penalty associated with foreign nationality.

This contrast is nevertheless informative for the broader theoretical argument. Ownership is highly visible and clearly identifies where control of the firm resides, whereas supplier relationships are more diffuse and less readily attributable to individual subsidy decisions. The results therefore suggest that the political boundary between domestic and foreign firms

is drawn much more sharply around ownership than around the geography of upstream production. This interpretation does not explain the positive supplier coefficient itself, which was not predicted by the theory, but it helps account for the substantial asymmetry between the ownership and supply-chain results.

The results thus reveal a sharp difference between two dimensions of firm foreignness: foreign nationality carries a substantial penalty, whereas foreign supplier dependence does not. I next examine whether these relationships vary with labor intensity, testing whether employment-intensive economic activity changes how governments respond to foreign nationality and foreign sourcing.

When do foreign firms overcome the nationality penalty?

The preceding results establish a clear disadvantage associated with foreign nationality, but they also raise the central question motivating this paper: if foreign nationality is politically costly, why do governments nevertheless subsidize many foreign firms? Hypothesis 3 argues that the answer depends on firms' employment orientation. If labor-intensive production provides a more visible basis for emphasizing employment benefits, the nationality penalty should diminish as firms become more employment intensive.

Table 3 provides strong evidence consistent with this expectation. Labor intensity is positively associated with subsidy receipt, but the more important result is its interaction with foreign-firm status. The interaction between foreign status and logged labor intensity is positive and statistically significant ($\beta = 0.638$, $p < 0.01$), indicating that the negative association between foreign nationality and subsidy allocation becomes progressively smaller as labor intensity increases.

Because the interaction coefficient alone does not reveal the substantive size of this change, Figure 3 plots predicted subsidy counts for U.S. and foreign firms across the observed distribution of labor intensity. Among relatively capital-intensive firms, the nationality divide is pronounced: foreign firms receive substantially fewer subsidies than otherwise comparable U.S. firms. As labor intensity increases, however, this gap narrows considerably. Around the middle of the observed distribution, the difference between foreign and U.S. firms becomes statistically indistinguishable from zero.

This pattern provides an answer to the apparent puzzle of foreign firms receiving subsidies under nationally oriented industrial policy. Governments do not appear to treat foreign nationality as an absolute disqualification. Instead, the nationality penalty is conditional on firms' employment orientation. Foreign firms whose production is relatively capital intensive

Table 3: Labor intensity and the effects of firm foreignness

	1	2	3	4
	Log Count of Industrial Subsidies			
Foreign firm	-0.116** (0.036)	-0.119** (0.036)		
Labor intensity (log)	0.430** (0.051)	0.247** (0.060)		
Foreign firm $\times$ Labor intensity (log)		0.638** (0.109)		
Foreign supplier			0.098** (0.038)	0.095* (0.039)
Supplier labor intensity (log)			0.945** (0.289)	0.935** (0.291)
Foreign supplier $\times$ Supplier labor intensity (log)				0.870 (3.185)
Firm size	Yes	Yes	Yes	Yes
State FE	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes

Note: OLS estimates with robust standard errors in parentheses.

All models include firm size and state, year, and 4-digit NAICS industry fixed effects.

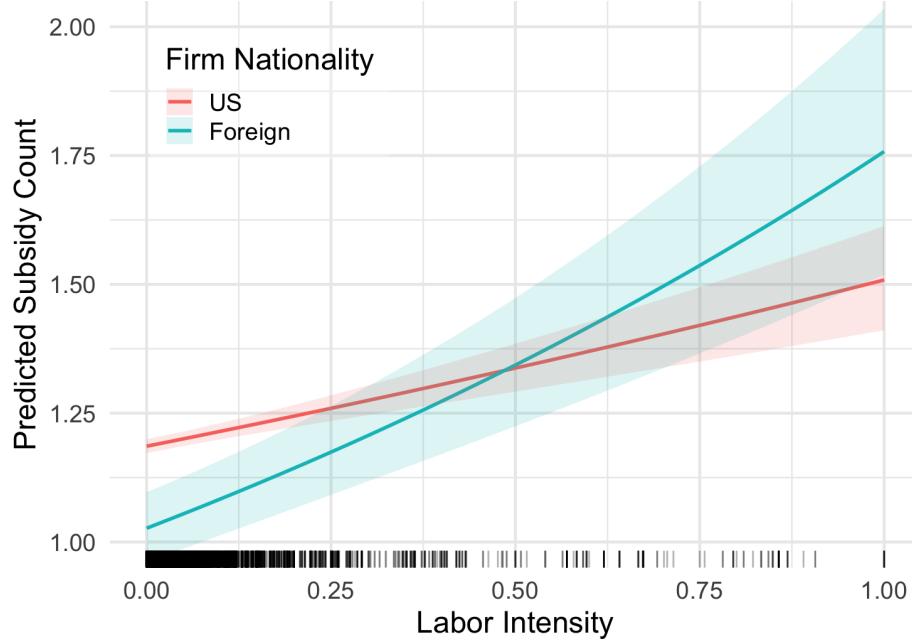
* $p < 0.05$, ** $p < 0.01$.

retain a substantial disadvantage, while foreign firms for which employment constitutes a larger component of economic activity face a much smaller one. This pattern is consistent with employment providing one pathway through which foreign firms can overcome the political liability associated with nationality, although the data do not identify where firms' employees are located.

The result also clarifies what domestic embeddedness means politically. It is not simply that labor-intensive firms receive more government support. If that were the entire story, labor intensity would have the same relationship with subsidy allocation regardless of nationality. Instead, its association is particularly strong among foreign firms, precisely where policymakers face the greatest tension between supporting economic activity at home and directing public resources toward a foreign company. The interaction is therefore consistent with the argument that employment-oriented production makes the benefits of supporting a foreign firm easier to identify and politically attribute.

Does the same logic extend beyond employment at the subsidized firm? Models 3 and 4 of Table 3 examine whether foreign supplier dependence becomes more consequential when

Figure 3: Predicted subsidy count by firm nationality and labor intensity



the firms in those supplier networks are themselves labor intensive. Supplier labor intensity is positively associated with subsidy receipt, but its interaction with foreign supplier share is statistically indistinguishable from zero. There is therefore no evidence that governments respond differently to foreign sourcing depending on the employment intensity of the upstream supplier network.

The contrast between the two interactions is revealing. Employment intensity matters when it is attached directly to the firm receiving public support: greater labor intensity substantially attenuates the foreign-nationality penalty. The same pattern does not emerge for employment embedded indirectly in supplier relationships. Together with the earlier supplier results, this suggests that governments place greater weight on forms of economic contribution that are directly connected to the subsidized firm and readily attributable to the subsidy decision. Employment several steps upstream in a firm's production network appears to carry much less political weight.

These findings should nevertheless be interpreted as conditional associations rather than direct evidence of policymakers' decision-making process. Labor intensity is not randomly assigned, and the measure captures the employment intensity of production rather than the exact number of U.S. jobs attributable to a particular subsidy. The estimates therefore do not imply that policymakers consciously trade a specific number of jobs against foreign

nationality. They instead reveal a systematic allocation pattern consistent with Hypothesis 3: the nationality penalty is substantially weaker among firms for which employment represents a more prominent component of economic activity. The analysis also captures realized subsidy outcomes rather than applications alone, so differences may partly reflect firms' decisions to seek support as well as governments' allocation decisions.

Summary of Study 1

Study 1 reveals a differentiated rather than categorical response to firm foreignness. Foreign nationality is associated with fewer subsidies and lower total subsidy amounts, supporting Hypothesis 1. Yet this disadvantage is not uniform: it narrows considerably among firms with more employment-intensive production, consistent with Hypothesis 3. By contrast, governments do not appear to penalize reliance on foreign suppliers, and the supplier labor-intensity analysis provides no support for Hypothesis 4. Additional analyses also show that the nationality relationship varies across broad sectors: it is positive among tradable-goods firms but negative among service-sector firms (Appendix Table A13), indicating that the aggregate penalty should not be interpreted as uniform across the economy.

Taken together, the results support the central distinction developed in the theory. Governments appear to respond most strongly to dimensions of firms that are visible and politically attributable. Foreign nationality carries a clear political liability, while employment-intensive production is associated with a substantially weaker nationality disadvantage. More diffuse supply-chain relationships receive much less consistent political weight. Study 2 turns to the public to examine how citizens evaluate related dimensions of firm ownership and domestic economic contribution.

Study 2: Public Support for Industrial Subsidies

Research design

To test Hypotheses H1s – H3s, I field two preregistered survey experiments on nationally representative samples of U.S. adults recruited through YouGov, each targeting approximately 2,000 completed responses (4,000 respondents total). YouGov poststratification weights are applied throughout the confirmatory analyses. A pilot study conducted prior to the confirmatory fielding was used to refine the survey instrument; pilot responses are excluded from the analyses below.

Both experiments employ a 2×2 between-subjects design that independently randomizes firm ownership together with a different dimension of domestic economic contribution. Experiment 1 varies ownership and workforce composition, while Experiment 2 varies ownership and supplier origin. Industry, annual revenue, and requested subsidy amount are held constant across conditions. Table 4 summarizes the experimental manipulations.

Table 4: Experimental conditions

Dimension	Domestic condition	Foreign condition
Ownership	American company headquartered in the United States	Foreign-owned company headquartered overseas
Workforce	About 2,000 American workers, approximately 80% of the total workforce	About 2,000 foreign workers outside the United States, approximately 80% of the total workforce
Supplier origin	Over 80% of parts and materials sourced from U.S.-based suppliers	Only 20% sourced from U.S.-based suppliers, with most parts and materials obtained from abroad

Note: Experiment 1 randomizes ownership and workforce composition; Experiment 2 randomizes ownership and supplier origin. Across all conditions, Nova Systems manufactures machines used to produce computer chips at U.S. factories, has approximately \$80 million in annual revenue, and applies for \$15 million in government support.

Respondents in the American-owned, American-workforce condition of Experiment 1 read the following vignette. The remaining conditions independently vary the ownership and workforce or supplier information summarized above. The complete wording of all eight experimental conditions appears in Appendix B.

Sample Vignette: The U.S. government is offering loans and grants to companies to strengthen American manufacturing. Nova Systems is an American company that makes machines used to produce computer chips at factories in the U.S. It is headquartered in the United States and employs about 2,000 American workers, which is roughly 80% of its total workforce. Nova is applying for \$15 million in government support and its annual revenue is about \$80 million.

Immediately after the vignette, respondents report their support for subsidizing the firm on a five-point scale (1 = strongly oppose; 5 = strongly support), the paper’s primary outcome. They also evaluate how much subsidizing the firm would contribute to U.S. economic growth and employment and whether it would demonstrate that America comes before other nations. These secondary outcomes capture perceived economic contribution and national alignment and are examined later in the analysis.

Before the vignette, the survey also measures employment status, occupation, and nationalist orientation for the preregistered moderator analyses reported in Appendix B. Confirmatory models are estimated using survey-weighted OLS with YouGov poststratification weights and heteroskedasticity-robust (HC2) standard errors. The primary specifications include no additional covariates; demographic and political controls are added in secondary specifications as robustness checks.

Results

Main effects Pooling respondents across the two experiments, foreign ownership reduces subsidy support by 0.165 points on the five-point scale ($SE = 0.037$, $p < 0.001$). This pooled estimate supports Hypothesis 1s, although the experiment-specific results show that the ownership penalty is context-dependent.

Table 5: Pooled effect of foreign ownership on subsidy support

	Subsidy support
Foreign firm	−0.165*** (0.037)
Experiment 2	0.047 (0.037)

Note: Survey-weighted OLS estimates using the pooled sample. Experiment 1 is the reference design. HC2 robust standard errors are shown in parentheses. * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$.

Table 6 reports the experiment-specific main effects of ownership, workforce composition, and supplier origin on subsidy support. In Experiment 1, the foreign-ownership estimate is small and statistically indistinguishable from zero ($b = -0.070$, $p > 0.10$). In Experiment 2, by contrast, foreign ownership reduces support by approximately one-quarter of a point on the five-point scale ($b = -0.264$, $p < 0.001$). Thus, although the pooled analysis supports Hypothesis 1s, the experiment-specific estimates indicate that the ownership penalty is concentrated in the supplier-origin design.

The effects of workforce and supplier composition are considerably larger and more consistent. In Experiment 1, respondents are about half a point less supportive of subsidizing a firm that employs primarily foreign rather than American workers ($b = -0.511$, $p < 0.001$), supporting Hypothesis H2sa. In Experiment 2, sourcing primarily from foreign rather than U.S.-based suppliers reduces support by 0.445 points ($p < 0.001$), supporting Hypothesis

H2sb. Both effects remain virtually unchanged after adding demographic and political controls.

Table 6: Effects of firm ownership, workforce, and supplier composition on subsidy support

	Experiment 1			Experiment 2		
	Weighted	+Controls	+Political	Weighted	+Controls	+Political
Foreign firm	-0.070 (0.052)	-0.065 (0.052)	-0.064 (0.052)	-0.264*** (0.052)	-0.274*** (0.051)	-0.282*** (0.051)
Foreign worker	-0.511*** (0.052)	-0.515*** (0.052)	-0.513*** (0.051)			
Foreign supplier				-0.445*** (0.052)	-0.442*** (0.051)	-0.436*** (0.051)

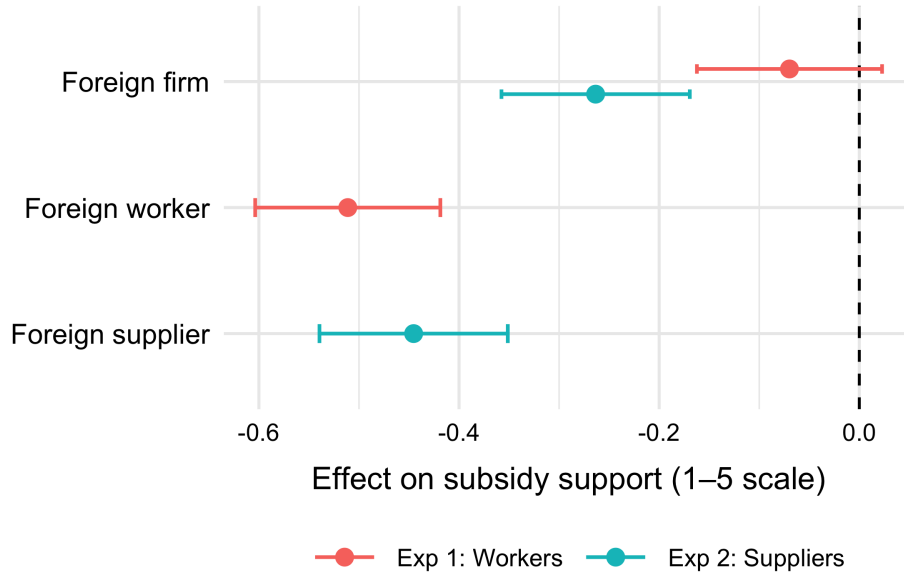
Note: Survey-weighted OLS estimates with YouGov poststratification weights. HC2 standard errors in parentheses. The outcome is subsidy support on a five-point scale. * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$.

Figure 4 makes the substantive contrast especially clear. The estimated penalties associated with a foreign workforce and foreign suppliers are substantially larger than the corresponding ownership effects. The workforce penalty is the largest, followed by supplier origin, while the ownership effect is smaller and varies across experiments. Citizens therefore distinguish between who owns a firm and where its economic activity takes place, placing substantial weight on the latter when deciding whether a firm deserves public support.

Does domestic embeddedness offset the ownership penalty? The large main effects of workforce and supplier origin establish that citizens value domestic economic contribution. Hypothesis H3s asks a more demanding question: whether these domestic connections specifically compensate for the disadvantage associated with foreign ownership. The interaction tests provide no evidence of such a relationship. In Experiment 1, the Foreign Firm $\times$ Foreign Worker interaction is positive but small and statistically insignificant ($b = 0.088$, $p > 0.10$). In Experiment 2, the Foreign Firm $\times$ Foreign Supplier interaction is similarly small and signed in the opposite direction ($b = -0.064$, $p > 0.10$). The full interaction models are reported in Appendix Table B1.

Table 7 makes the substantive pattern clearer by decomposing these interactions. In Experiment 1, employing primarily foreign rather than American workers reduces support substantially among both American-owned firms ($b = -0.550$, $p < 0.001$) and foreign-owned firms ($b = -0.477$, $p < 0.001$), supporting the preregistered within-ownership hypotheses H4a and H4b reported in Appendix B. Experiment 2 shows the same pattern: sourcing primarily from foreign rather than American suppliers reduces support among both American-

Figure 4: Effects of ownership and domestic economic contribution on subsidy support



Note: Points report survey-weighted OLS estimates from the primary specifications; horizontal bars indicate 95% confidence intervals. The outcome is support for subsidizing the firm on a five-point scale. Ownership is independently randomized in both experiments; workforce composition is randomized in Experiment 1 and supplier origin in Experiment 2.

owned firms ($b = -0.401$, $p < 0.001$) and foreign-owned firms ($b = -0.456$, $p < 0.001$), supporting H7a and H7b. Domestic employment and sourcing therefore matter strongly, but their effects do not differ sufficiently across ownership groups to support the predicted interactions.

Reading the comparison in the opposite direction leads to the same conclusion. In Experiment 1, the ownership penalty is statistically indistinguishable from zero whether the firm employs primarily American workers ($b = -0.114$) or foreign workers ($b = -0.019$). In Experiment 2, foreign ownership reduces support under both sourcing conditions and, if anything, the estimated penalty is somewhat larger when the firm relies primarily on foreign suppliers ($b = -0.325$) than when it relies primarily on American suppliers ($b = -0.248$). This is the opposite of the attenuation predicted by Hypothesis H3s.

The results therefore reveal an important distinction between the value of domestic embeddedness and its ability to compensate for foreign ownership. Citizens clearly reward domestic employment and domestic sourcing, as Hypotheses H2sa and H2sb predict. But these characteristics do not become especially valuable when a firm is foreign-owned. Hypothesis H3s is therefore not supported: ownership and domestic economic contribution ap-

Table 7: Conditional Effects of Treatments on Subsidy Support

	Firm ownership	
	American-owned	Foreign-owned
Foreign workforce (vs. American)	-0.550***	-0.477***
Foreign suppliers (vs. American)	-0.401***	-0.456***
	Workforce composition	
	American workforce	Foreign workforce
Foreign ownership (vs. American)	-0.114	-0.019
	Supplier composition	
	American suppliers	Foreign suppliers
Foreign ownership (vs. American)	-0.248***	-0.325***

Note: Conditional treatment effects from survey-weighted linear models interacting firm ownership with workforce composition (Experiment 1) or supplier origin (Experiment 2). * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$.

pear to shape subsidy preferences largely independently rather than through the predicted compensatory relationship.

Two Evaluative Channels Why do citizens respond differently to ownership and domestic economic contribution? Appendix Table 8 examines how the treatments shape perceived economic contribution and national alignment. Because these outcomes were measured after treatment, I interpret them as evidence about evaluative channels rather than as definitive causal mediation estimates. Foreign ownership reduces perceived national alignment in both experiments ($b = -0.148$, $p < 0.01$ in Experiment 1; $b = -0.244$, $p < 0.001$ in Experiment 2). Its relationship with perceived economic contribution is smaller and statistically insignificant in Experiment 1 ($b = -0.049$, $p > 0.10$), although it is negative and significant in Experiment 2 ($b = -0.178$, $p < 0.001$). Ownership therefore shapes national evaluations more consistently than perceptions of economic contribution.

Workforce and supplier composition operate more broadly. A foreign workforce reduces perceived economic contribution by 0.260 points and perceived national alignment by 0.423 points (both $p < 0.001$). Foreign sourcing similarly reduces perceived economic contribution by 0.273 points and national alignment by 0.218 points (both $p < 0.001$). This helps account for why workforce and supplier origin generate larger and more consistent effects on subsidy support than ownership alone. The heterogeneity analyses reinforce this interpretation: the ownership penalty becomes larger with nationalist orientation and conservative ideology in the supplier experiment, while the penalties associated with foreign workers and suppliers

Table 8: Treatment Effects on Perceived Economic Contribution and National Alignment

	Experiment 1		Experiment 2	
	Economic contribution	National alignment	Economic contribution	National alignment
Foreign firm	-0.049 (0.047)	-0.148** (0.046)	-0.178*** (0.045)	-0.244*** (0.048)
Foreign worker	-0.260*** (0.047)	-0.423*** (0.046)		
Foreign supplier			-0.273*** (0.045)	-0.218*** (0.048)

+ p<0.1, * p<0.05, ** p<0.01, *** p<0.001. Survey-weighted OLS estimates with demographic and political covariates. HC2 robust standard errors are shown in parentheses. These post-treatment outcomes are interpreted as evaluative channels rather than definitive causal mediators.

remain large across nearly all of the subgroups examined (Appendix Figures B1–B2).

Summary of Study 2

Study 2 shows that citizens evaluate potential subsidy recipients by considering where firms generate economic benefits, not simply who owns them. In the pooled sample, respondents are significantly less supportive of subsidizing a foreign-owned firm. The experiment-specific estimates indicate that this ownership penalty is concentrated in Experiment 2 and is not statistically distinguishable from zero in Experiment 1. Ownership nevertheless remains relevant across the two experiments: foreign ownership consistently lowers perceptions that a firm shares American interests and priorities, even when its effect on subsidy support varies across the experimental settings.

Workforce and supplier composition produce larger and more consistent effects. Respondents are substantially less supportive of firms that employ primarily foreign workers or rely primarily on foreign suppliers. These characteristics also reduce perceptions that the firm contributes to the U.S. economy and is aligned with American interests. The results therefore support Hypotheses 2sa and 2sb. Citizens appear to view domestic employment and sourcing not only as sources of material economic benefits but also as indications that a firm is connected to the national economy.

The interaction and subgroup analyses provide no support for Hypothesis 3s. Domestic employment and sourcing do not systematically reduce the ownership penalty; instead, their

effects are broadly similar for American- and foreign-owned firms. This does not mean that citizens disregard domestic embeddedness when evaluating foreign firms. Rather, they reward domestic employment and sourcing across firms regardless of ownership. A foreign-owned firm with American workers or suppliers receives more support than an otherwise similar foreign-owned firm whose economic activities are located abroad, just as an American-owned firm is penalized when its workforce or suppliers are foreign.

Taken together, the findings show that public support for industrial subsidies is shaped by a broader assessment of where the expected benefits will accrue. Ownership provides one signal, particularly about national alignment, but citizens also respond strongly to the location of employment and supplier relationships. Public evaluations therefore cannot be reduced to a simple preference for American-owned firms. Citizens consider whether subsidized firms generate economic activity within the United States, even when those firms are headquartered abroad.

Discussion

Domestic benefits and industrial policy under globalization

Taken together, Studies 1 and 2 show that the politics of industrial subsidies cannot be understood through firm nationality alone. Governments and citizens both consider whether firms generate benefits within the domestic economy. Foreign nationality creates a disadvantage, but it is not the only characteristic that shapes subsidy allocation or public support. Employment and supplier relationships provide additional information about where a firm's economic activities are located and who is likely to benefit from public support. The common finding across the two studies is therefore that political evaluations of firms extend beyond ownership to their domestic economic contributions.

Study 1 demonstrates this logic in government allocation. Foreign firms receive fewer subsidies and lower total subsidy amounts than comparable U.S. firms, indicating that nationality remains an important political consideration. At the same time, the foreign-firm disadvantage becomes substantially smaller among more labor-intensive firms. Employment-intensive production provides policymakers with a visible and politically defensible reason to support a foreign firm: subsidies can be presented as investments in jobs and local economic activity rather than simply as assistance to a foreign company. The absence of a comparable penalty for foreign supplier dependence further suggests that governments place greater weight on economic contributions that are readily visible and attributable to the subsidized

firm.

Study 2 identifies a similar emphasis on domestic benefits among citizens. Respondents consistently prefer firms that employ American workers and purchase from American suppliers. These effects appear for both American- and foreign-owned firms, indicating that citizens care about where firms create economic activity rather than relying exclusively on ownership as a shortcut. Foreign ownership still matters, especially for perceptions of whether a firm is aligned with American interests, but it does not dominate evaluations of subsidy recipients. Citizens distinguish between who owns a firm and where its employment and sourcing benefits are located.

Governments and citizens may nevertheless emphasize different aspects of domestic contribution because they evaluate firms from different positions. Policymakers allocate subsidies to particular projects and often have access to employment commitments, investment plans, and projections of local economic activity. They also face incentives to justify subsidies through outcomes for which they can claim political credit, especially job creation. Citizens usually possess less detailed information and may instead evaluate a limited set of visible characteristics, such as ownership, workforce location, and supplier origin. These institutional and informational differences can affect the relative weight attached to each characteristic without changing the basic logic underlying the evaluations. Both governments and citizens are primarily concerned with whether public support produces benefits that remain within the domestic economy.

The two studies operationalize these considerations differently. Study 1 measures firm labor intensity and cannot identify the location of every employee within a multinational firm, whereas Study 2 directly varies whether a firm's workers are located in the United States or abroad. Study 1 also measures supplier relationships using disclosed customer links, while Study 2 presents respondents with an explicit distinction between American and foreign suppliers. The two studies should therefore not be treated as identical tests. Instead, they provide complementary evidence that employment and sourcing help determine whether globally integrated firms are perceived as contributing to national economic objectives.

These findings clarify how industrial policy operates in a globalized economy. Governments do not face a simple choice between supporting domestic firms and excluding foreign ones. They evaluate firms that combine ownership, production, employment, and sourcing across multiple countries. Citizens make similar distinctions when deciding which firms deserve public support. Firm nationality remains politically meaningful, but the location and visibility of economic benefits also shape whether a firm is considered a legitimate recipient

of industrial subsidies.

More broadly, industrial policy does not necessarily retreat from globalization. It seeks to make globally integrated firms serve politically visible national goals. Foreign firms can become acceptable recipients of public support when their activities generate domestic employment, investment, and production, while American ownership alone does not guarantee public approval when a firm's economic activities are located abroad. The central political question is therefore not simply whether a firm is American or foreign, but whether subsidizing it can be credibly linked to benefits for the domestic economy.

Conclusion

This paper starts with a simple problem. Industrial policy serves national goals, but many of the firms that receive support operate across national borders. A foreign headquarters does not tell us where a firm employs workers, produces goods, or buys inputs. The results show that governments and citizens consider these activities when they evaluate firms. Foreign nationality still matters, but it does not determine whether a firm is seen as contributing to the domestic economy.

This finding contributes to firm-level research in international political economy. Existing studies often examine how firms with different interests influence trade and investment policy. This paper asks a different question: how do governments and citizens choose among firms? Firms differ not only in size, productivity, or sector. They also differ in where they create jobs and organize production. These differences affect whether a firm is considered an appropriate recipient of national economic policy. Firm-level IPE should therefore examine both how firms shape policy and how governments classify and treat different firms.

The paper also contributes to research on foreign direct investment and the liability of foreignness. This literature shows that foreign firms may face disadvantages because they have weaker political ties, less knowledge of local institutions, or less legitimacy in the host country (Zaheer, 1995; Johns and Wellhausen, 2021; Kim and Siegel, 2024). The findings here show that this liability is not fixed. Foreign firms remain disadvantaged on average, but their position can change as they expand employment and other economic activities in the host country. Domestic embeddedness does not remove foreign nationality, but it can reduce some of its political costs. The liability of foreignness therefore depends partly on what foreign firms do after entering a country and how their local activities are understood by policymakers and citizens.

This argument also helps explain the current backlash against globalization. The return of industrial policy does not mean that governments have stopped relying on global firms and supply chains. Instead, governments are trying to direct more of their benefits toward the domestic economy. They use subsidies, local-content rules, procurement policies, tariffs, and investment restrictions to influence where firms produce and employ workers. The result is not the end of globalization. It is a more selective form of globalization in which access to national markets and public support depends on what firms contribute at home.

One part of my future research will examine why governments choose different policies to pursue these goals. Tariffs protect domestic producers by making imports more expensive. Subsidies provide direct support to selected firms or investments. These policies may serve similar goals, but they distribute benefits and costs differently. Future work will examine when governments choose subsidies rather than tariffs, which firms support each policy, and how firms' positions in global supply chains affect their preferences. This project will connect firm-level political preferences to the government's choice among industrial and trade policy tools.

Another part of my research will study how firms build political ties within the host country. Domestic subsidiaries, lobbying, and revolving-door connections may help foreign firms gain access to policymakers and present themselves as important local employers or investors. I also plan to use H-1B data to measure firms' reliance on foreign workers more directly. This will help distinguish labor intensity from the location and nationality of a firm's workforce. These projects will show how economic activity and political connections jointly shape access to government support.

My industrial policy research also extends to sectors in which technology and national security play a central role. Governments increasingly use subsidies, procurement, investment screening, and technology restrictions to support strategic industries and reduce dependence on geopolitical competitors. In these sectors, they may care about who controls a technology, whether a supplier comes from an ally, and whether a product works with existing national and allied systems. The question of which foreign firms serve national goals therefore becomes closely connected to security relationships and technical standards.

My research on arms trade develops this part of the industrial policy agenda. It examines whether NATO standards, interoperability requirements, and alliance relationships affect which weapons governments import and which foreign producers gain access to national defense markets. A product made by a foreign firm may become more acceptable when it is compatible with allied systems or produced in a trusted country. This project applies the

paper's main question to technology and security: which connections make a foreign firm or product suitable for national support and procurement?

The broader implication is that the national identity of a firm cannot be determined by its headquarters alone. Governments increasingly work with firms whose owners, workers, suppliers, and technologies are spread across countries. They must decide which of these connections matter when allocating public resources. The same problem appears in industrial subsidies, foreign investment, trade policy, technology policy, and defense procurement. Understanding the global economy therefore requires studying how governments decide which firms and economic activities count as domestic.

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Appendix A: Study 1 (Government Allocation) Supplementary Material

A.1 Descriptive statistics

Table A1: Summary statistics

	Count	Mean	SD	Min	Max
Annual subsidy count	151338	0.38	2.62	0.00	196.00
Annual subsidy amount	151338	1.16×10^6	4.00×10^7	0.00	8.83×10^9
U.S. firm	151338	0.77	0.42	0.00	1.00
Foreign firm	151338	0.23	0.42	0.00	1.00
Foreign supplier share	20996	0.04	0.18	0.00	1.00
Firm labor intensity	151338	0.01	0.02	0.00	1.00
Supplier labor intensity	20996	0.01	0.05	0.00	1.00
Annual revenue	151338	3.71×10^3	1.68×10^4	0.00	6.48×10^5
Number of employees	151338	10.03	44.06	0.00	2300.00

Note: The dependent variables and both labor intensity measures are log-transformed in the regression analyses. Annual revenue and employee count are standardized and combined into a composite firm-size control.

Table A2: Balance table: subsidized vs. non-subsidized firms

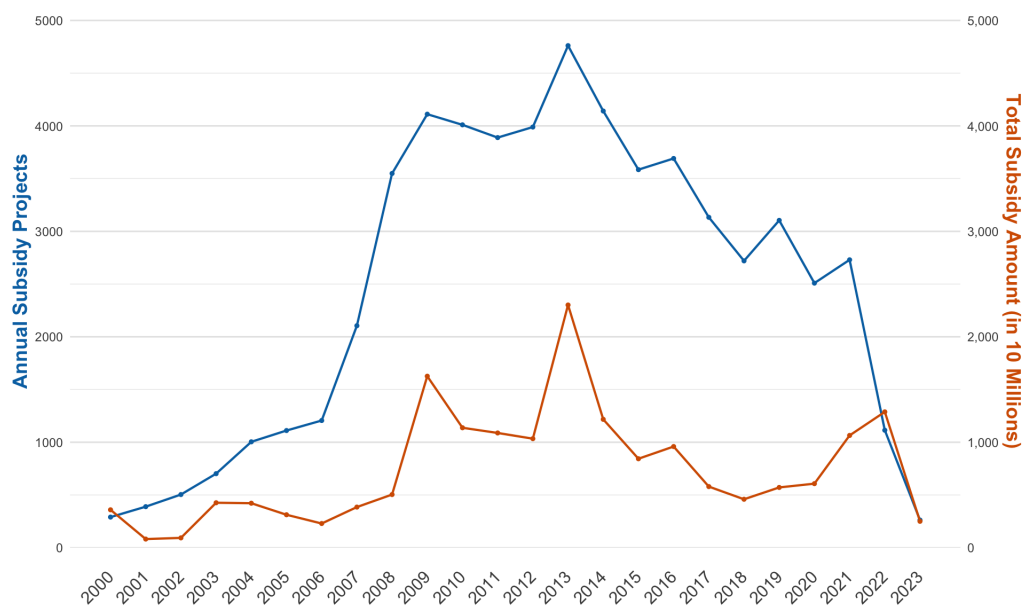
	Non-subsidized Firms	Subsidized Firms
U.S. firm	0.76	0.846
Foreign firm	0.238	0.154
Foreign supplier	0.039	0.032
Labor intensity	0.011	0.004
Supplier labor intensity	0.033	0.004
Annual revenue	2125.09	19222.45
Number of employees	6.208	47.442

Note: Subsidized firms are larger in size, with higher revenue and employee counts, than non-subsidized firms.

Table A3: Industrial subsidy awards by industry (NAICS 2-digit)

Code	Industry	Awards	Amount (\$B)
33	Manufacturing (Metal, Machinery, Electronics)	15,765	63.74
32	Manufacturing (Wood, Paper, Petroleum, Chemicals)	7,871	21.02
52	Finance and Insurance	5,053	8.36
51	Information	4,613	13.10
31	Manufacturing (Food, Textiles, Apparel)	3,984	4.43
45	Retail Trade	2,605	5.19
22	Utilities	1,975	25.24
48	Transportation and Warehousing	1,971	4.95
44	Retail Trade	1,894	0.97
99	Nonclassifiable	1,838	0.38
42	Wholesale Trade	1,408	0.55
21	Mining, Quarrying, and Oil & Gas Extraction	1,223	4.34
49	Transportation and Warehousing	1,095	0.53
54	Professional, Scientific, and Technical Services	903	1.66
53	Real Estate and Rental and Leasing	831	2.18
72	Accommodation and Food Services	800	0.66
62	Health Care and Social Assistance	604	0.61
56	Administrative and Support Services	449	0.13
71	Arts, Entertainment, and Recreation	242	0.36
23	Construction	160	0.08
61	Educational Services	97	0.11
81	Other Services	47	0.01
11	Agriculture, Forestry, Fishing, and Hunting	31	0.04
92	Public Administration	0	0.00

Figure A1: Annual count and amount of industrial subsidy projects



A.2 Distribution of dependent variables

Figure A2: Distribution of subsidy count (recipients only)

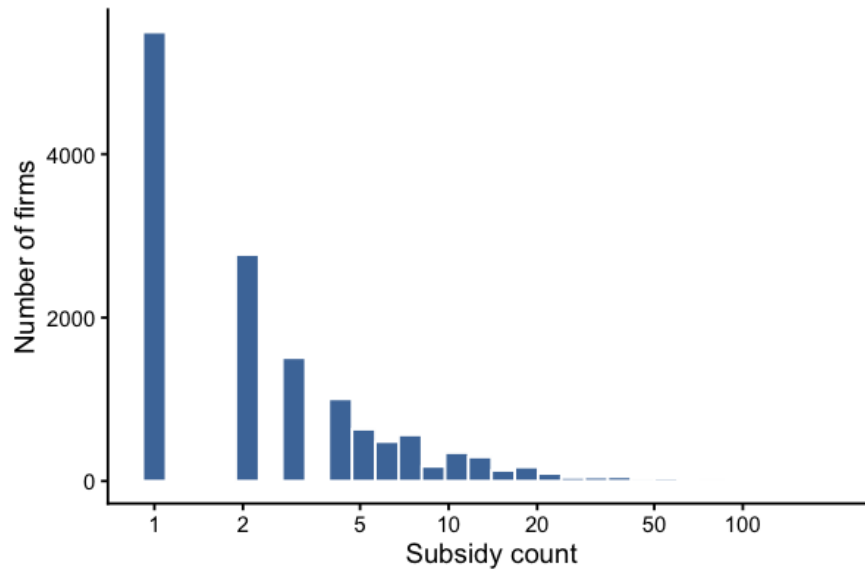
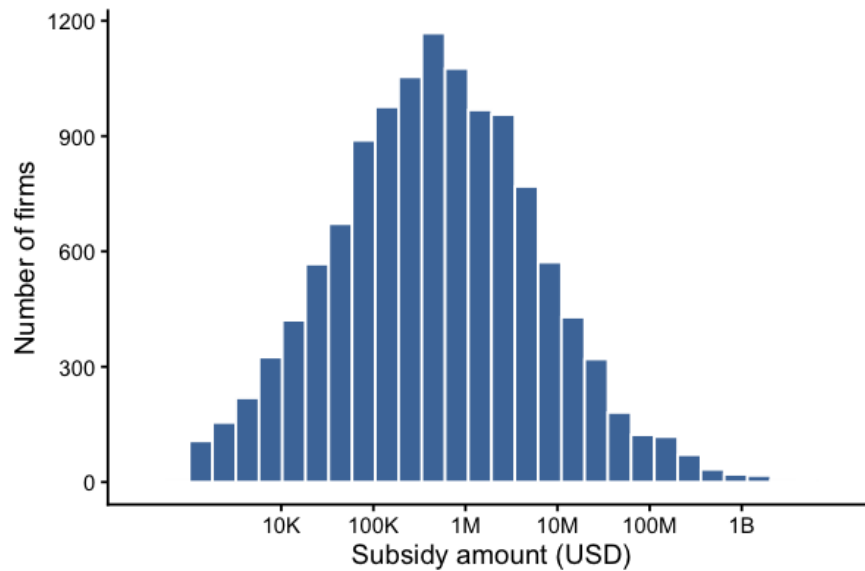


Figure A3: Distribution of subsidy amount (log scale, recipients only)



Note: Histograms are restricted to firms receiving at least one subsidy; x-axes are on a log scale.

A.3 Distribution of subsidies by firm nationality

Figure A4: Number of firms receiving industrial subsidies, by headquarters country

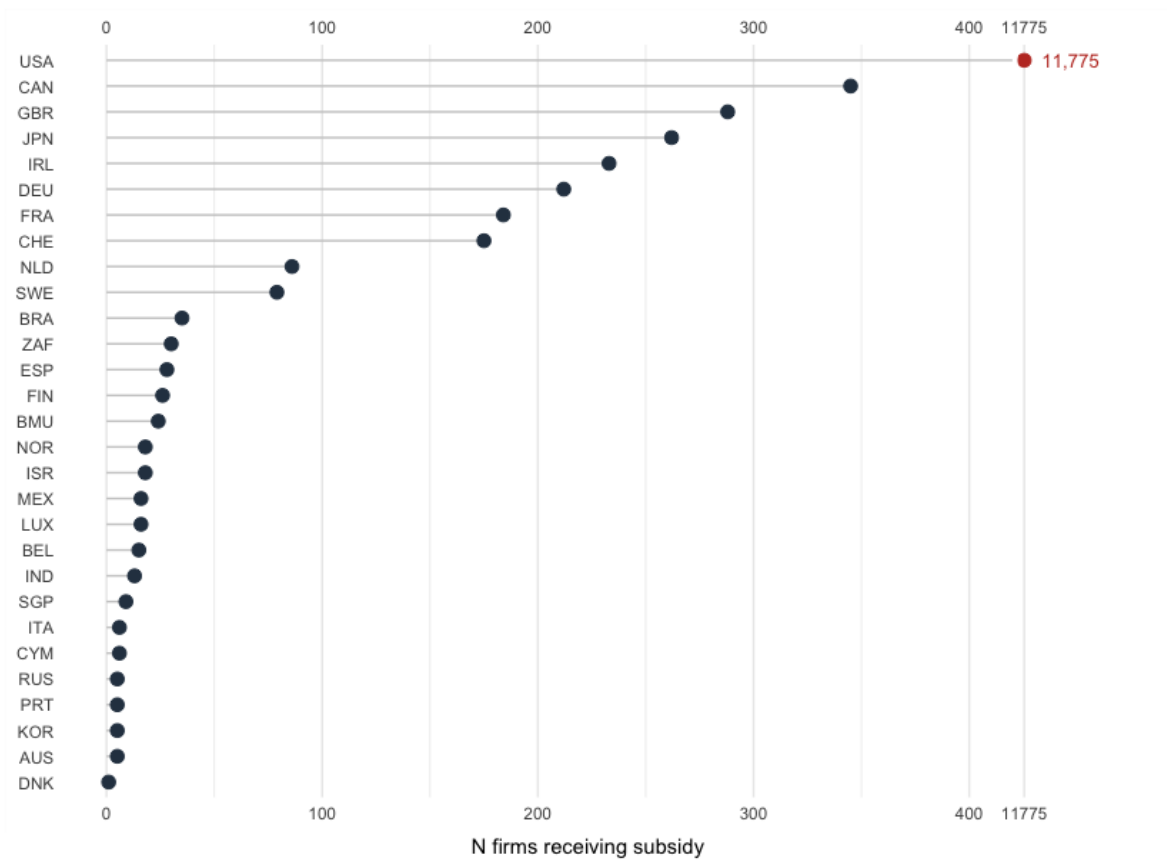
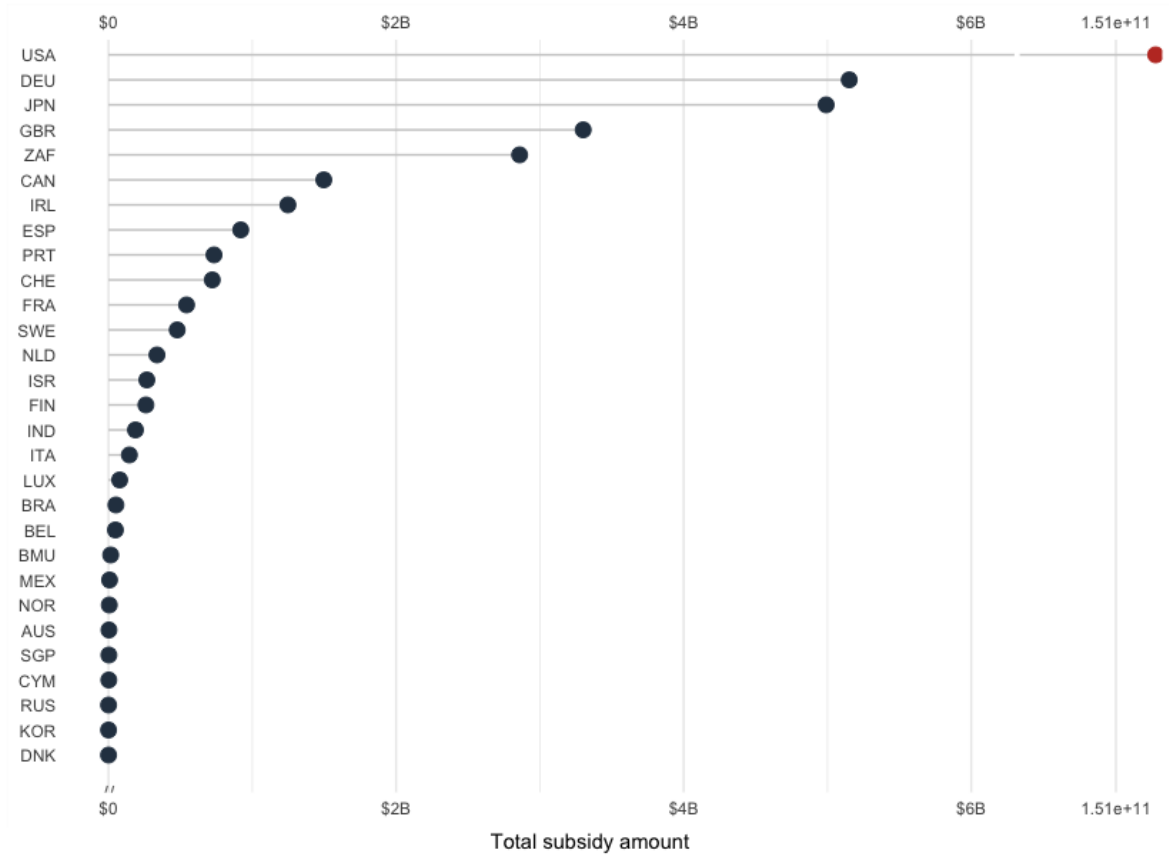
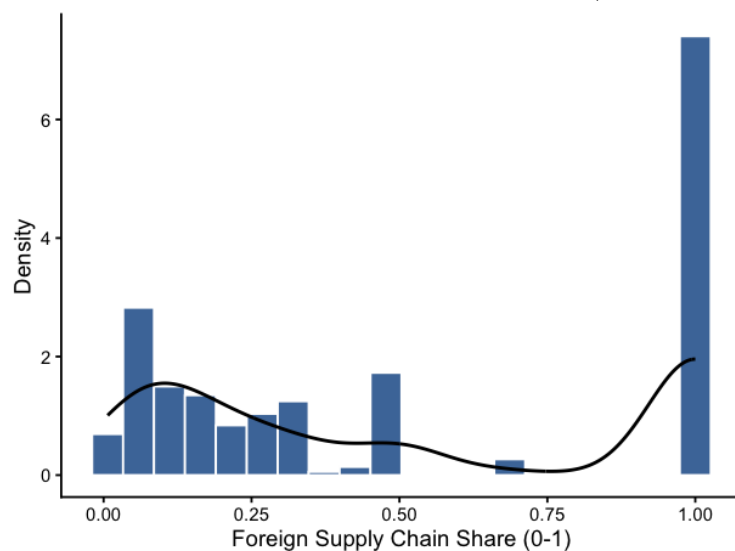


Figure A5: Total industrial subsidy amount, by headquarters country



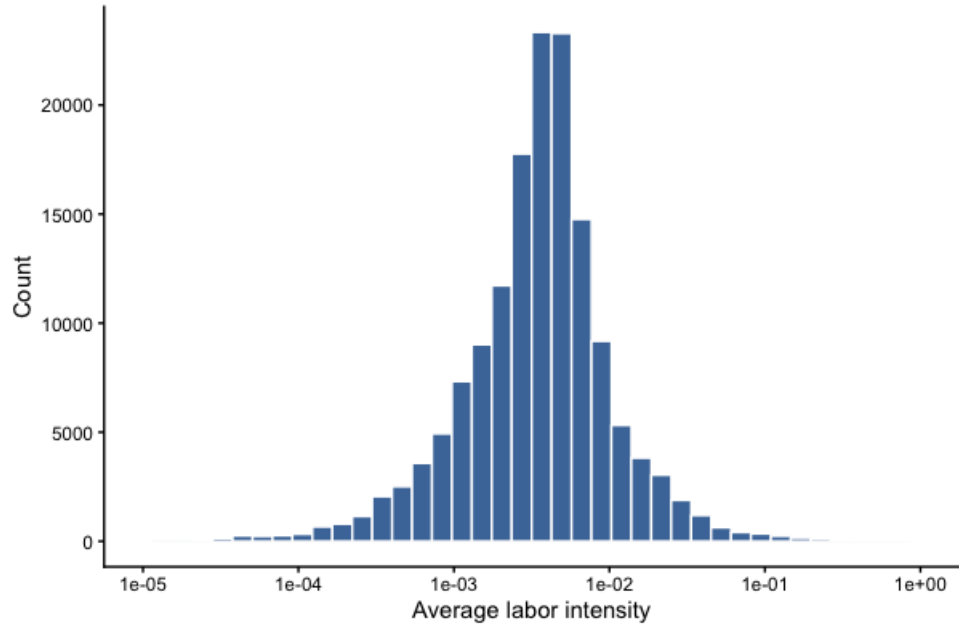
A.4 Distribution of foreign supplier and labor-intensity measures

Figure A6: Distribution of foreign supply chain share (non-zero observations)



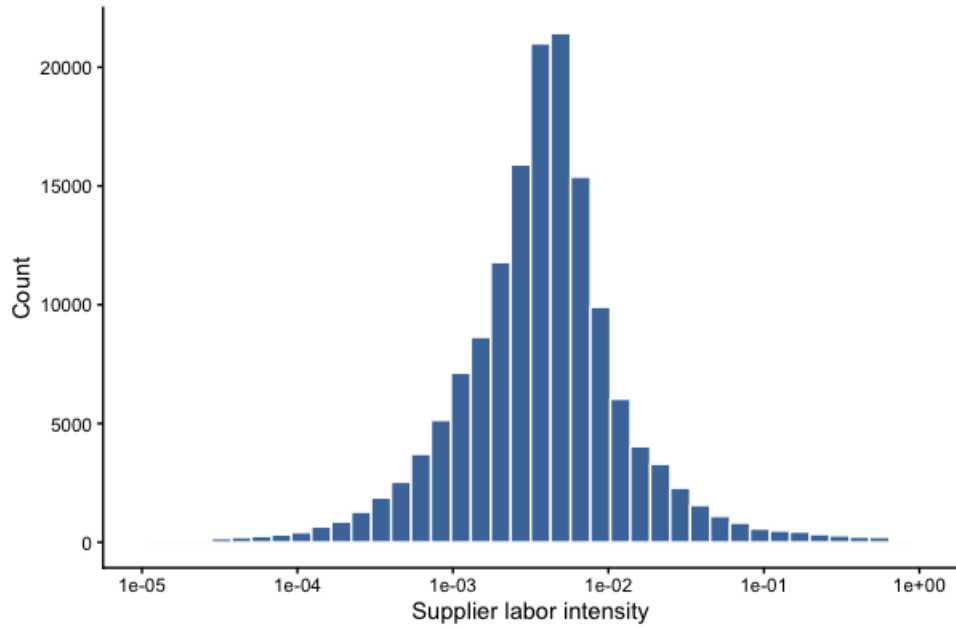
Note: Displays the distribution of Foreign supplier share among firms with positive foreign supplier shares only (8% of firm-years); the remaining 92% report zero and are omitted for visual clarity.

Figure A7: Distribution of average labor intensity



Note: Labor intensity is the ratio of employees to annual sales; both x-axes are log scale given right-skew.

Figure A8: Distribution of supplier labor intensity



A.5 Predicted outcomes

Table A4: Predicted subsidy outcomes by firm nationality

Outcome	U.S. firms	Foreign firms	Difference	% difference
Subsidy count	0.471	0.194	-0.277	-58.8%
Subsidy amount (\$ millions)	1.766	0.396	-1.371	-77.6%

Note: Average adjusted predictions from Poisson pseudo-maximum-likelihood models. For each firm-year, predictions are calculated under counterfactual U.S.-firm and foreign-firm status while retaining the observation's actual firm size, year, state, and four-digit NAICS industry. Predictions are then averaged across the estimation sample. Subsidy amounts are reported in millions of U.S. dollars. Percentage differences are calculated as $(\text{Foreign} - \text{U.S.})/\text{U.S.} \times 100$.

A.6 Robustness checks

Table A5: Robustness check: firm-clustered standard errors

	1	2	3
	Log Count of Industrial Subsidies		
Foreign firm	-0.115 (0.076)		-0.785*** (0.124)
Foreign supplier share _{t-1}		0.097 (0.085)	0.097 (0.085)
	Log Amount of Industrial Subsidies		
Foreign firm	-0.955** (0.310)		-6.015*** (1.332)
Foreign supplier share _{t-1}		0.733* (0.307)	0.739* (0.307)
Firm size	Yes	Yes	Yes
State FE	Yes	Yes	Yes
Year FE	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes

Note: Standard errors clustered by firm (**gvkey**).

* $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$.

Firm-clustered errors leave the nationality penalty negative and highly significant in the fully specified models for both subsidy count and amount; the count specification without the supplier control loses significance under clustering, though the coefficient magnitude is materially unchanged. The foreign supplier share coefficient is directionally consistent throughout, reaching significance in the amount models but not the count models.

Table A6: Robustness check: foreign nationality across FE specifications

	Count			Amount		
Foreign firm	-0.105** (0.002)	-0.122** (0.036)	-0.115** (0.036)	-0.895** (0.020)	-0.989** (0.305)	-0.955** (0.310)
Firm size	Yes	Yes	Yes	Yes	Yes	Yes
State FE	No	Yes	Yes	No	Yes	Yes
Year FE	No	Yes	Yes	No	Yes	Yes
NAICS 4-digit FE	No	No	Yes	No	No	Yes

* $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$.

Table A7: Robustness check: foreign suppliers across FE specifications

	Count			Amount		
Foreign suppliers (t-1)	-0.275** (0.040)	-0.006 (0.039)	0.097* (0.038)	-1.892** (0.315)	-0.104 (0.308)	0.733* (0.307)
Firm size	Yes	Yes	Yes	Yes	Yes	Yes
State FE	No	Yes	Yes	No	Yes	Yes
Year FE	No	Yes	Yes	No	Yes	Yes
NAICS 4-digit FE	No	No	Yes	No	No	Yes

* $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$.

The foreign-nationality penalty is robust across progressively saturated fixed-effects specifications. Foreign supplier exposure is more sensitive to specification: its unconditional negative association disappears with state and year fixed effects and reverses to significantly positive once industry fixed effects are added. The stronger conclusion is therefore that the data provide little evidence of a systematic supplier penalty comparable to the nationality penalty.

The linear probability model (Table A8) and zero-inflated negative binomial model (Table A9) both confirm the baseline pattern—a significant foreign-nationality penalty and a null-to-positive foreign-supplier association—indicating the results are not an artifact of the log-linear functional form or of how zero-subsidy observations are treated.

Table A8: Robustness check: binary subsidy-receipt outcome

	Subsidy receipt (binary)		
Foreign firm	-0.070** (0.024)		-0.368** (0.097)
Foreign suppliers (t-1)		0.057* (0.022)	0.057* (0.022)
Firm size	Yes	Yes	Yes
State FE	Yes	Yes	Yes
Year FE	Yes	Yes	Yes
NAICS 4-digit FE	Yes	Yes	Yes

* $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$.

Table A9: Robustness check: zero-inflated negative binomial models

	Subsidy Count		
	(1)	(2)	(3)
Foreign firm	-1.022+ (0.573)		-2.602** (0.863)
Foreign suppliers (t-1)		0.156 (0.169)	0.161 (0.169)
Firm size	Yes	Yes	Yes
State FE	Yes	Yes	Yes
Year FE	Yes	Yes	Yes
NAICS 4-digit FE	Yes	Yes	Yes

Note: Entries are coefficients from the count equation.

+ $p < 0.10$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

A.7 Matching analysis

Table A10: Coarsened exact matching and generalized full matching

	CEM	GFM
Foreign firm	-0.074*** (0.005)	-0.126*** (0.026)
Firm size	Yes	Yes
State FE	Yes	Yes
Year FE	Yes	Yes
Industry FE	Yes	Yes
SEs clustered at the firm level. * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$.		

Using Coarsened Exact Matching (Iacus, King, and Porro, 2012) and Generalized Full Matching (Sävje, Higgins, and Sekhon, 2020) to compare firms of similar size within the same state, industry, and year, the nationality penalty remains significant among observationally comparable firms, indicating that the baseline gap is not driven solely by observable firm characteristics. Following Ho et al. (2007), I treat matching as a preprocessing step rather than as a substitute for the outcome analysis.

A.8 Perceived foreignness and firm names

Firm nationality is often inferred through observable cues, such as company names, rather than legal headquarters alone. I classify firm names as English-sounding or foreign-sounding using OpenAI-based language detection combined with additional linguistic classification; approximately 13% of firms have foreign-sounding names, and more than one-quarter of firms with English-sounding names are not headquartered in the United States.

Table A11: Foreign-sounding firm names and subsidy allocation

	Full sample		U.S. firms only	
	1	2	3	4
Foreign-sounding firm	-0.016** (0.002)	-0.193** (0.022)	-0.004+ (0.002)	-0.075** (0.029)
Firm size	Yes	Yes	Yes	Yes
State FE	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes

+ $p < 0.10$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$.

Firms with foreign-sounding names receive significantly less industrial support, even restricting to U.S.-headquartered firms, suggesting subsidy allocation is shaped by perceived as well as legal national identity.

A.9 Export and import exposure

Table A12: Industrial subsidies and industry export/import exposure

	Log Count of Subsidy		Log Amount of Subsidy	
	(1)	(2)	(3)	(4)
Export	0.050** (0.008)	0.015** (0.005)	0.311** (0.051)	0.107** (0.033)
Import	0.043** (0.009)	-0.017** (0.005)	0.180** (0.057)	-0.182** (0.037)
Industry size control	No	Yes	No	Yes
NAICS two-digit FE	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes
Observations	5,979	5,979	5,979	5,979

Note: The unit of analysis is the NAICS four-digit industry-year.

Models include year and NAICS two-digit fixed effects; robust standard errors are in parentheses.

* $p < 0.05$, ** $p < 0.01$.

A.10 Tradable-goods and service-sector firms

Table A13: Industrial subsidies for tradable-goods and service-sector firms

	Tradable Goods				Services			
	Log Count		Log Amount		Log Count		Log Amount	
Foreign firm	0.119**		1.298**		-0.117**		-1.318**	
	(0.020)		(0.210)		(0.024)		(0.326)	
Foreign supplier share _{t-1}	-0.001		-0.128		0.033		1.099*	
	(0.030)		(0.386)		(0.037)		(0.510)	
Firm size	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
State FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes

* $p < 0.05$, ** $p < 0.01$.

Note: Tradable goods include NAICS 11, 21, and 31–33. Services include NAICS 51–56, 61, and 62. All models include firm size and state, year, and industry fixed effects. Heteroskedasticity-robust standard errors are in parentheses.

A.11 Allocation by level of government

Table A14: Subsidy allocation by level of government in the United States

	All levels		Local		State		Federal	
U.S. firm	0.021*	0.085**	-0.031+	-0.024	0.038**	0.088**	0.072	0.310*
	(0.009)	(0.019)	(0.016)	(0.033)	(0.010)	(0.021)	(0.048)	(0.137)
U.S. supplier share _{t-1}	-0.066*			0.035		0.024		-0.791**
	(0.028)			(0.037)		(0.019)		(0.199)
Firm size	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Observations	13,989	7,238	2,744	1,394	9,898	5,294	1,297	514

Note: Columns report $\log(1 + y)$ subsidy outcomes for awards from all, local, state, and federal programs.

All models include firm size and year and industry fixed effects. Heteroskedasticity-robust standard errors are in parentheses.

+ $p < 0.10$, * $p < 0.05$, ** $p < 0.01$.

Appendix B: Study 2 (Public Support) Supplementary Material

B.1 Full vignette text

Respondents were randomly assigned to one of four conditions within each experiment. Experiment 1 independently varied firm ownership (American vs. foreign-owned) and workforce location (primarily American vs. primarily foreign). Experiment 2 independently varied firm ownership and supplier origin (primarily U.S.-based vs. primarily foreign). The full text of each experimental condition is reproduced below.

Experiment 1: Ownership $\times$ Workforce

American-owned firm $\times$ American workforce

The U.S. government is offering loans and grants to companies to strengthen American manufacturing.

Nova Systems is an American company that makes machines used to produce computer chips at factories in the U.S. It is headquartered in the United States and employs about 2,000 American workers, which is roughly 80% of its total workforce.

Nova is applying for \$15 million in government support and its annual revenue is about \$80 million.

American-owned firm $\times$ Foreign workforce

The U.S. government is offering loans and grants to companies to strengthen American manufacturing.

Nova Systems is an American company that makes machines used to produce computer chips at factories in the U.S. It is headquartered in the United States but employs about 2,000 foreign workers outside the U.S., which is roughly 80% of its total workforce.

Nova is applying for \$15 million in government support and its annual revenue is about \$80 million.

Foreign-owned firm $\times$ American workforce

The U.S. government is offering loans and grants to companies to strengthen American manufacturing.

Nova Systems is a foreign-owned company that makes machines used to produce computer chips at factories in the U.S. It is headquartered overseas but employs about 2,000 American workers, which is roughly 80% of its total workforce.

Nova is applying for \$15 million in government support and its annual revenue is about \$80 million.

Foreign-owned firm × Foreign workforce

The U.S. government is offering loans and grants to companies to strengthen American manufacturing.

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Nova is applying for \$15 million in government support and its annual revenue is about \$80 million.

Experiment 2: Ownership × Supplier Origin

American-owned firm × U.S.-based suppliers

The U.S. government is offering loans and grants to companies to strengthen American manufacturing.

Nova Systems is an American company that makes machines used to produce computer chips at factories in the U.S. It is headquartered in the United States and sources over 80% of its parts and materials from U.S.-based suppliers.

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American-owned firm × Foreign suppliers

The U.S. government is offering loans and grants to companies to strengthen American manufacturing.

Nova Systems is an American company that makes machines used to produce computer chips at factories in the U.S. It is headquartered in the United States but sources only 20% of its parts and materials from U.S.-based suppliers, obtaining most of its parts and materials from abroad.

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Foreign-owned firm × U.S.-based suppliers

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Outcome measures

Immediately after the vignette, respondents reported their support for providing the firm with a government subsidy. This measure constitutes the primary outcome in both experiments and is coded on a five-point scale from 1 (strongly oppose) to 5 (strongly support). Respondents were asked:

Would you support or oppose the U.S. government providing a subsidy to Nova Systems?

1. Strongly oppose
2. Somewhat oppose
3. Neither support nor oppose
4. Somewhat support
5. Strongly support

Respondents then evaluated the firm on two dimensions used to examine the mechanisms underlying subsidy preferences. The first, perceived economic contribution, captures the extent to which respondents expect subsidizing the firm to contribute to U.S. economic growth and employment. Respondents were asked:

How much would subsidizing Nova Systems contribute to economic growth and employment in the United States?

1. Not at all
2. A little
3. A moderate amount
4. A lot
5. A great deal

Responses are coded from 1 (not at all) to 5 (a great deal).

The second, perceived national alignment, captures whether respondents view subsidizing the firm as consistent with prioritizing American national interests. Respondents were asked:

Do you agree or disagree that subsidizing Nova Systems would demonstrate that America comes before other nations?

1. Strongly disagree
2. Somewhat disagree
3. Neither agree nor disagree
4. Somewhat agree
5. Strongly agree

Responses are coded from 1 (strongly disagree) to 5 (strongly agree).

Pre-randomization moderators

Before the experimental vignette, respondents answered three questions used in the moderator analyses. These measures capture respondents' occupational background and two distinct dimensions of nationalist orientation.

The first measure captures respondents' occupational background. Respondents were asked:

Which category best describes your current or most recent job?

1. Blue-collar (e.g., manufacturing, construction, transportation, maintenance)
2. White-collar (e.g., office work, management, professional services)
3. Other (please specify)
4. Never worked for pay

For the occupational moderator analysis, respondents are classified according to their reported occupational category.

The remaining two measures capture distinct dimensions of nationalist orientation. The first, national superiority, captures the belief that American characteristics or ways of life are preferable to those of other countries. Respondents were asked:

To what extent do you agree or disagree with the following statement:

“The world would be a better place if people from other countries were more like Americans.”

1. Strongly disagree
2. Somewhat disagree
3. Neither agree nor disagree
4. Somewhat agree
5. Strongly agree

Responses are coded from 1 (strongly disagree) to 5 (strongly agree), with higher values indicating stronger national superiority.

The second, national priority, captures the belief that the U.S. government should prioritize Americans over the interests of people in other countries. Respondents were asked:

To what extent do you agree or disagree with the following statement:

“The U.S. government should worry only about Americans when it makes decisions. Whether its decisions negatively impact people from other countries is not important.”

1. Strongly disagree
2. Somewhat disagree
3. Neither agree nor disagree
4. Somewhat agree
5. Strongly agree

Responses are coded from 1 (strongly disagree) to 5 (strongly agree), with higher values indicating stronger national priority. The two nationalism measures are analyzed separately rather than combined into a single index.

B.2 Full hypothesis set

The study preregistered the following confirmatory hypotheses. H1 concerns firm ownership and is evaluated across both experiments. H2–H4b concern workforce composition in Experiment 1, while H5–H7b concern supplier composition in Experiment 2.

Survey Hypothesis H1. The public will be less supportive of providing subsidies to foreign-owned firms than to American-owned firms.

Experiment 1: Workforce composition

Survey Hypothesis H2. The public will be less supportive of providing subsidies to firms that employ primarily foreign workers than to firms that employ primarily American workers.

Survey Hypothesis H3. The negative effect of foreign ownership on public support for subsidizing the firm will be smaller when the firm employs primarily American workers than when it employs primarily foreign workers.

Survey Hypothesis H4a. Among foreign-owned firms, employing primarily American workers will increase public support for subsidies relative to employing primarily foreign workers.

Survey Hypothesis H4b. Among American-owned firms, employing primarily foreign workers will reduce public support for subsidies relative to employing primarily American workers.

Experiment 2: Supplier composition

Survey Hypothesis H5. The public will be less supportive of providing subsidies to firms that source primarily from foreign suppliers than to firms that source primarily from American suppliers.

Survey Hypothesis H6. The negative effect of foreign ownership on public support for subsidizing the firm will be smaller when the firm sources primarily from American suppliers than when it sources primarily from foreign suppliers.

Survey Hypothesis H7a. Among foreign-owned firms, sourcing primarily from American suppliers will increase public support for subsidies relative to sourcing primarily from foreign suppliers.

Survey Hypothesis H7b. Among American-owned firms, sourcing primarily from foreign suppliers will reduce public support for subsidies relative to sourcing primarily from American suppliers.

Exploratory moderators and mediators

The preregistration also specified exploratory and explanatory expectations intended to distinguish between the material-benefit and national-identity mechanisms.

Material-benefit mechanism.

Moderator 1. The domestic-workforce premium will be larger among blue-collar than white-collar workers.

Moderator 2. The domestic-workforce premium will be smaller among retirees and economically inactive respondents than among active workers.

Mediator 1. The domestic-workforce effect will operate through perceived economic contribution.

National-identity mechanism.

Moderator 3. The domestic-ownership premium will increase with nationalist orientations, measured separately as national superiority and national priority.

Mediator 2. The domestic-ownership effect will operate through perceived national alignment.

B.3 Interaction analysis

Table B1: Interaction models: moderating effect of workforce/supplier composition

	Experiment 1			Experiment 2		
	Weighted	+Controls	+Political	Weighted	+Controls	+Political
Foreign firm	-0.113 (0.074)	-0.109 (0.074)	-0.105 (0.074)	-0.232** (0.072)	-0.244*** (0.072)	-0.247*** (0.072)
Foreign worker	-0.554*** (0.072)	-0.559*** (0.072)	-0.555*** (0.072)			
Foreign firm $\times$ Foreign worker	0.088 (0.103)	0.089 (0.103)	0.083 (0.103)			
Foreign supplier				-0.413*** (0.072)	-0.412*** (0.072)	-0.400*** (0.072)
Foreign firm $\times$ Foreign supplier				-0.064 (0.104)	-0.060 (0.103)	-0.071 (0.103)

+ p<0.1, * p<0.05, ** p<0.01, *** p<0.001. Robust (HC2) SEs in parentheses.

B.4 Heterogeneity by moderators

Blue-collar occupation significantly moderates the foreign-worker penalty in Experiment 1 ($b = 0.286$, $p < 0.01$), but in the direction opposite Moderator 1's prediction: blue-collar respondents penalize foreign-worker firms less, not more, than white-collar respondents; blue-collar status does not moderate either treatment in Experiment 2. Consistent with Moderator 3, nationalist orientation and conservative ideology both significantly widen the ownership penalty in the supplier design; neither reaches significance for the ownership effect in the workforce design, where the ownership main effect is itself close to zero, though both moderate the foreign-worker penalty in the expected direction. An exploratory partisan pattern is also worth noting: in the workforce design, the ownership penalty is concentrated among independents ($b = -0.174$, $p < 0.05$) and significantly smaller among Democrats (interaction $b = 0.312$, $p < 0.01$), with no comparable attenuation among Republicans.

Table B2: Moderators of foreign firm and foreign worker effects (Experiment 1)

	x Blue-collar	x Nationalism	x Ideology	x Partisanship
Foreign firm	-0.053 (0.054)	-0.055 (0.047)	-0.073 (0.050)	-0.174* (0.082)
Blue-collar	-0.125 (0.099)			
Foreign worker	-0.599*** (0.054)	-0.526*** (0.047)	-0.562*** (0.050)	-0.554*** (0.081)
Foreign firm × Blue-collar	0.011 (0.109)			
Blue-collar × Foreign worker	0.286** (0.109)			
Nationalism		0.044 (0.036)		
Foreign firm × Nationalism		-0.057 (0.040)		
Nationalism × Foreign worker		-0.052 (0.040)		
Ideology			0.081* (0.039)	
Foreign firm × Ideology			-0.075+ (0.044)	
Ideology × Foreign worker			-0.087* (0.044)	
Democrat				-0.112 (0.103)
Republican				0.100 (0.107)
Foreign firm × Democrat				0.312** (0.120)
Foreign firm × Republican				0.010 (0.124)
Democrat × Foreign worker				0.130 (0.120)
Republican × Foreign worker				-0.104 (0.124)

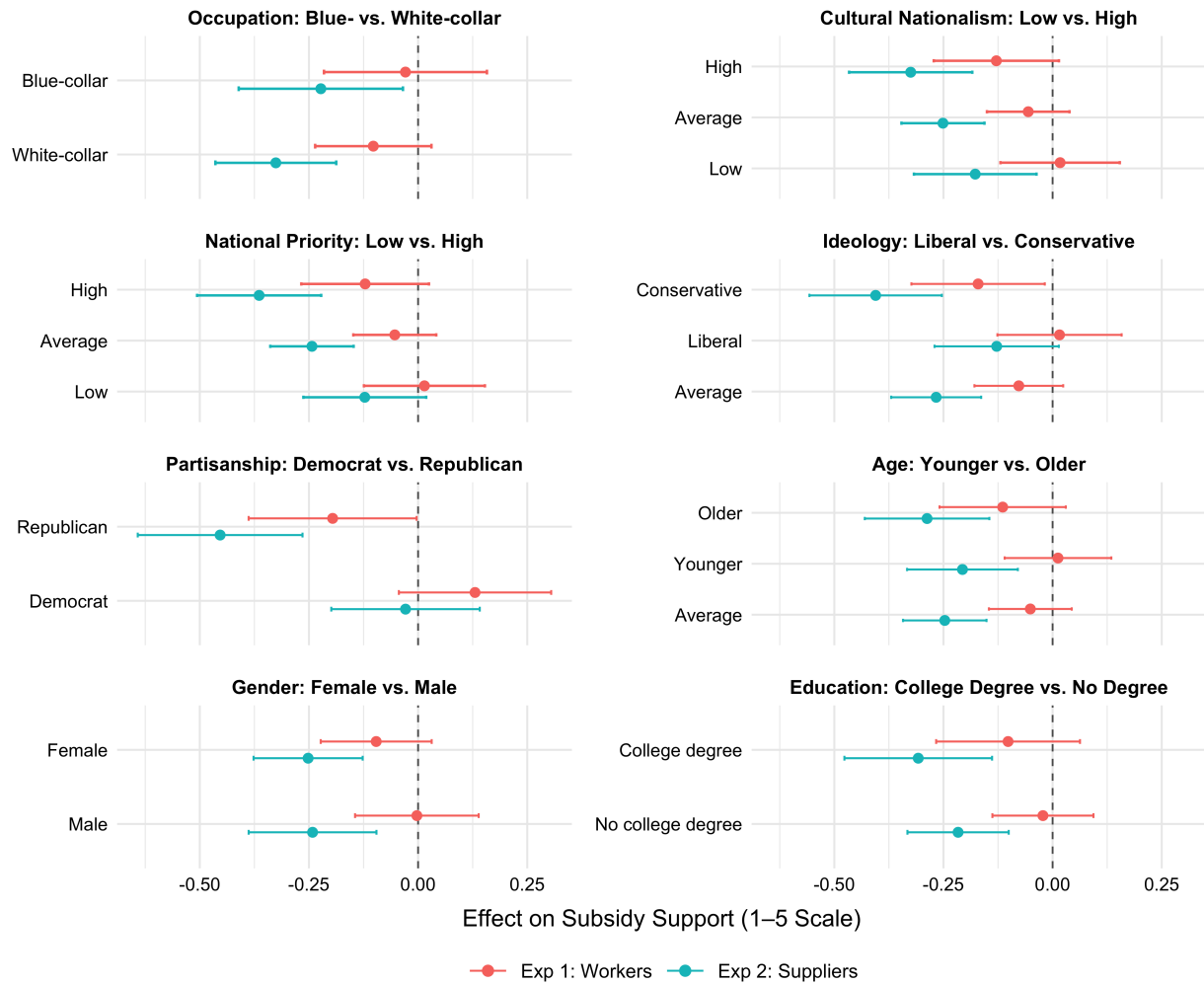
+ p<0.1, * p<0.05, ** p<0.01, *** p<0.001. Robust (HC2) SEs in parentheses. Nationalism and ideology are mean-centered continuous moderators; reference category for partisanship is Independent.

Table B3: Moderators of foreign firm and foreign supplier effects (Experiment 2)

	x Blue-collar	x Nationalism	x Ideology	x Partisanship
Foreign firm	-0.261*** (0.055)	-0.249*** (0.048)	-0.274*** (0.051)	-0.268** (0.090)
Blue-collar	0.021 (0.098)			
Foreign supplier	-0.434*** (0.055)	-0.433*** (0.048)	-0.446*** (0.051)	-0.399*** (0.090)
Foreign firm $\times$ Blue-collar	0.032 (0.109)			
Blue-collar $\times$ Foreign supplier	0.010 (0.109)			
Nationalism		0.012 (0.036)		
Foreign firm $\times$ Nationalism		-0.082* (0.040)		
Nationalism $\times$ Foreign supplier		0.078+ (0.041)		
Ideology			0.116** (0.039)	
Foreign firm $\times$ Ideology			-0.111* (0.044)	
Ideology $\times$ Foreign supplier			-0.022 (0.044)	
Democrat				-0.012 (0.107)
Republican				0.336** (0.113)
Foreign firm $\times$ Democrat				0.212+ (0.123)
Foreign firm $\times$ Republican				-0.188 (0.130)
Democrat $\times$ Foreign supplier				-0.066 (0.124)
Republican $\times$ Foreign supplier				-0.070 (0.130)

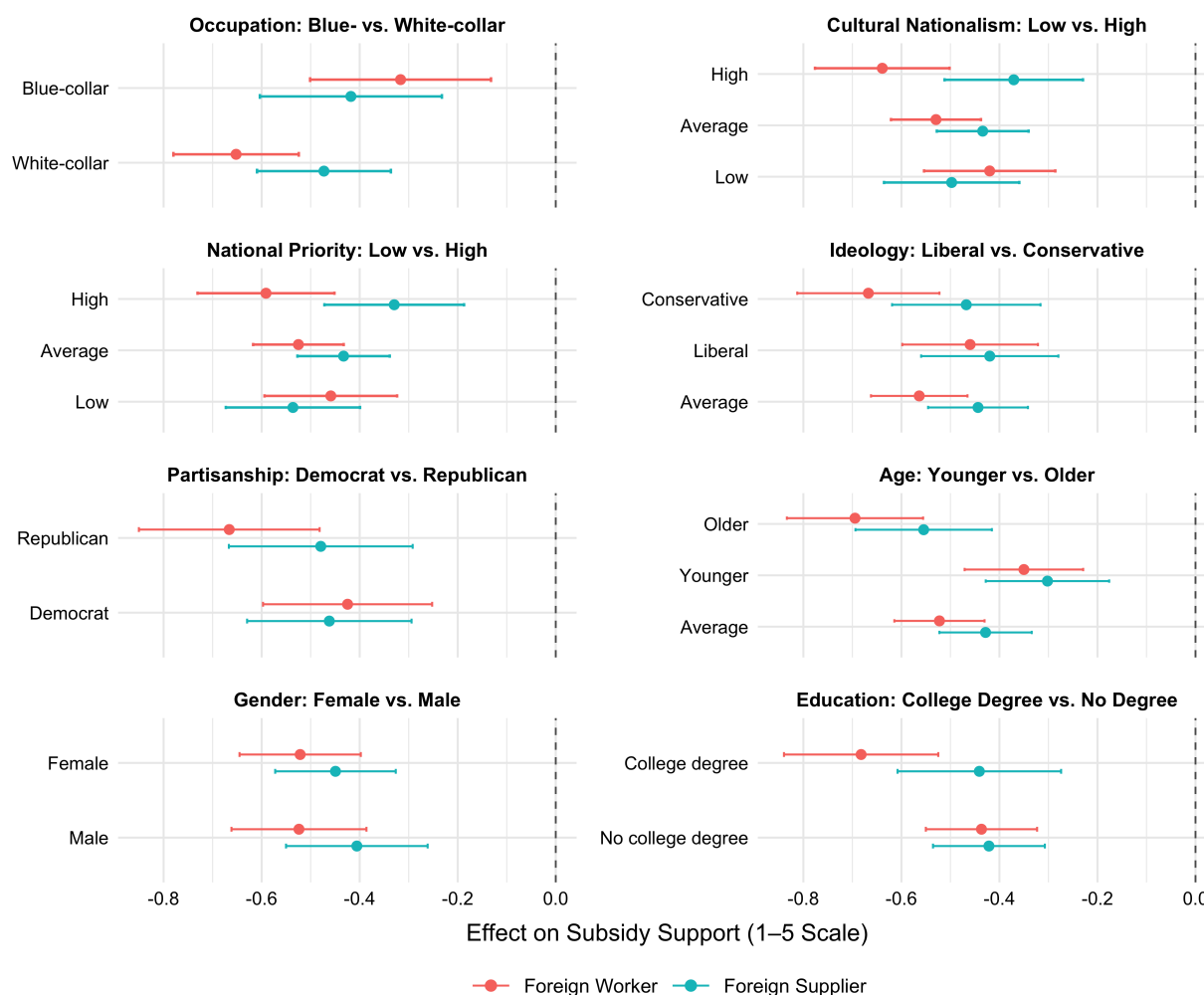
+ $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$. Robust (HC2) SEs in parentheses.

Figure B1: Heterogeneous treatment effects of foreign ownership



Note: Points show the estimated effect of foreign ownership on subsidy support across representative values of each moderator (binary moderators: 0/1; continuous moderators: mean $\pm$ 1 SD), with 95% CIs (HC2-robust SEs). Filled points/thick intervals are primary theoretical moderators; hollow points/thin intervals are exploratory controls.

Figure B2: Heterogeneous treatment effects of foreign worker and supplier ties



Note: Points show the estimated effect of foreign worker ties (Experiment 1) and foreign supplier ties (Experiment 2) on subsidy support across representative values of each moderator, with 95% CIs (HC2-robust SEs). Filled points/thick intervals are primary theoretical moderators; hollow points/thin intervals are exploratory controls.

Heterogeneity in treatment effects

Figures B1 and B2 examine whether the experimental treatments have different effects across respondent characteristics. Points report estimated treatment effects on the five-point subsidy-support scale at representative moderator values, with 95% confidence intervals. For binary moderators, estimates are reported for each category. For continuous moderators, estimates are reported at the mean and approximately one standard deviation above and below the mean. Because these analyses are exploratory and involve multiple comparisons, the results should be interpreted as evidence of broad patterns rather than as separate confirmatory tests.

Figure B1 shows that heterogeneity in the foreign ownership effect is concentrated primarily in Experiment 2. In Experiment 1, foreign ownership generally has a small and statistically indistinguishable effect across occupations, levels of nationalism, and demographic groups. There is some political differentiation: the ownership penalty is larger among more conservative respondents, while Democrats appear less opposed to foreign ownership than Independents. These differences, however, do not overturn the overall conclusion that ownership had little independent effect in the workforce experiment.

In Experiment 2, by contrast, foreign ownership reduces subsidy support across most respondent groups. The penalty becomes larger as nationalism and conservative ideology increase. It is also smaller among Democrats and larger among Republicans, relative to Independents, although not all subgroup differences are statistically precise. The ownership penalty is otherwise fairly consistent across occupation, age, gender, and education. Taken together, these results suggest that responses to foreign ownership are partly structured by national and partisan predispositions, especially when the alternative dimension of firm foreignness concerns supply chains.

Figure B2 reveals a different pattern. Foreign workers and foreign suppliers reduce subsidy support across every subgroup examined, and nearly all estimated effects remain statistically distinguishable from zero. Opposition to these forms of foreign economic activity is therefore not confined to nationalist, conservative, or Republican respondents. The most notable exception to this general uniformity is occupation: the foreign-workforce penalty is substantially smaller among blue-collar respondents than among other respondents. This result runs contrary to the expectation that blue-collar respondents would react more negatively to foreign employment. One possible interpretation is that these respondents place greater value on manufacturing activity itself, even when the firm's workforce is foreign. The foreign-workforce penalty also becomes larger among more nationalist and conserva-

tive respondents. Differences in the foreign-supplier effect are generally smaller and less systematic.

Overall, the heterogeneous-effects analyses reinforce the distinction between ownership and domestic economic activity. Opposition to foreign ownership varies more with nationalism, ideology, and partisanship, whereas the penalties for foreign workers and suppliers are broad-based across political and demographic groups. The latter pattern indicates that respondents' concern with where firms create jobs and source inputs extends beyond conventional ideological or partisan divisions.